



A COMMUNITY OF CHOICE

Planning and Development Department

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MEMO

To: Honorable Mayor Patrick Collins and Members of the City Council
From: Charles Bloom, AICP, Planning and Development Department
Subject: Urban Renewal Development Agreement for a development in the Jolly Rogers Plan and Project urban renewal area
Date: October 14, 2024

Background:

The item for consideration is a development agreement to award tax increment financing (TIF) to a developer within the Jolly Rogers Plan and Project area. This is a three-party agreement between the City, developer/owner, and their lender. At this time the lender has not been finalized and the lender's information will be completed when selected. The property is presently under contract and the developer.

The proposed Governing Body review schedule is as follows:

- Introduction October 14, 2024
- Public Services Committee October 22, 2024
- Final consideration: October 28, 2024

The developer, Stencil Group, intends to construct a two phase 194-unit multifamily development northwest of the Whitney Road and U.S. 30 intersection.

The Urban Renewal Authority Board approved this application at their September 5, 2024, meeting. The September 5, 2024, URA staff report, third party TIF application review, and July 3, 2024, URA staff report are attached and provide additional project information.

TIF Eligible Costs:

The applicant has proposed that a variety of costs be eligible for TIF reimbursement which are found on Exhibit B of the development agreement. Staff and the developer have had discussions regarding eligible costs and have not come to an agreement on what can/should be eligible. Specifically, staff has requested a further breakdown of costs related to each specified category and asked that aid for land acquisition be removed. The developer has communicated to staff that Exhibit B will be revised to provide further detail and a substitute exhibit will be offered at the Public Services Committee meeting; however, they have indicated they would like to make their case for land acquisition assistance directly to the Governing Body.

In review of eligible costs, staff looks for consistency with Wyo. Stat. § 15-9-113 and the Wyoming Constitution (Specifically, Article 16, Section 6 (a) (i) and Article 3, Section 36). The biggest concern is regarding how the application relates to the State Constitution. Relevant sections of the State Constitution are as follows:

- Article 16, Section 6, Loan of credit; donations prohibited; works of internal improvement. “Neither the state nor any county, city, township, town, school district, or any other political subdivision, shall . . . loan or give its credit or make donations to or in aid of any individual, association or corporation, except for necessary support of the poor . . .”
- Article 3, Section 36, Prohibited appropriations. “No appropriation shall be made for charitable, industrial, educational or benevolent purposes to any person, corporation or community not under the absolute control of the state, nor to any denominational or sectarian institution or association.”

The above-mentioned sections of the State Constitution prohibit a political subdivision from loaning or gifting funding to a private individual, corporation, or similar entity unless they serve a public purpose or provide necessary support of the poor. Cheyenne has been careful with the programs within the Urban Renewal Statutes (Urban Renewal and Downtown Development Authority) to ensure that all funds passing through the programs have a public purpose. Staff has taken the stance that use of public funds is appropriate for improvements within the right-of-way, and improvements on private property that have a direct relationship to the public realm such as publicly accessible plazas/arcades and façade improvements, or areas of private property publicly controlled by easement or other instrument.

Staff believes that most of the costs proposed are eligible and will meet the intent of Wyoming’s urban renewal statutes and the State Constitution upon further clarification; however, staff expresses concern with assisting with land acquisition and improvements that could be considered not of public benefit.

Attachments:

1. Urban Renewal Development Agreement
2. September 5, 2024, URA Staff Report; Third Party TIF Application Review; and July 3, 2024, URA Staff Report (54-pages)

City Contract # _____

URBAN RENEWAL DEVELOPMENT AGREEMENT FOR A DEVELOPMENT IN JOLLY ROGERS PLAN AND PROJECT URBAN RENEWAL AREA

This Urban Renewal Development Agreement (“Agreement”) for Development in the Jolly Rogers Plan and Project Urban Renewal Area (“Area”) is executed, delivered, and entered into this ___ day of _____ 2024, by and between the City of Cheyenne, a municipal corporation of the State of Wyoming whose address is 2101 O’Neil Avenue, Cheyenne, Wyoming 82001 (“City”), _____, whose address is _____ (“Lender”) (“Lender”), and Stencil Group, whose address is P.O. Box 89624, Sioux Falls, SD 57109 (“Developer” and “Owner”).

I. RECITALS

WHEREAS, the Developer owns certain real property located in Cheyenne, Wyoming as legally described as Lot 1, Block 1, Jolly Rogers Subdivision (the “Property”);

WHEREAS, the Developer has granted a note to Lender and as further security Developer intends to grant Lender the right to receive any reimbursements that it may be entitled to from the City as contemplated in this Agreement until the balance of the loan is paid in full;

WHEREAS, the Property is within an “urban renewal area” as defined by Wyo. Stat. § 15-9-103 and as designated, approved, and adopted by the City as the *Jolly Rogers Project Plan and Project* (the “Plan and Project”) pursuant to the Wyoming Urban Renewal Code, Wyo. Stat. § 15-9-101, et seq. (“URA Code”);

WHEREAS, the Plan and Project” as defined by Wyo. Stat. § 15-9-103 contained a provision that taxes levied upon taxable property within an urban renewal district each year be divided pursuant to Wyo. Stat. § 15-9-120 for the benefit of the municipality to carry out an urban renewal plan approved under the URA Code (the “Tax Increment”, “Tax Increment Financing” or TIF);

WHEREAS the URA Code authorizes the City to engage in various activities as part of an “urban renewal project” as defined in Wyo. Stat. § 15-9-103, which undertakings and activities may include: (i) acquisition of a slum area or a blighted area or portion thereof; (ii) demolition and removal of buildings and improvements; (iii) installation, construction, or reconstruction of streets, utilities, parks, playgrounds, and other improvements necessary for carrying out in the URA the urban renewal objectives of this Agreement in accordance with the Plan (defined below in Paragraph 4); (iv) disposition of any property acquired in the URA at its fair value for uses in accordance with the Plan; (v) carrying out plans for a program of voluntary or compulsory repair and rehabilitation of buildings or other improvements in accordance with the Plan; and (vi) acquisition of any other real property in the URA if necessary to eliminate unhealthy, unsanitary or unsafe conditions, lessen density, eliminate obsolete or other uses detrimental to the public welfare, or otherwise to remove or prevent the spread of blight or deterioration or to provide land for needed public facilities (collectively, the foregoing permitted urban renewal project undertakings and activities are defined as the “Statutorily Permitted URA Scope”);

WHEREAS, in relation to the Statutorily Permitted URA Scope, the City has been granted certain powers pursuant to the URA Code, including, but not limited to, the powers listed in Wyo. Stat. § 15-9-113 and -115 through -118 (the “Specifically Enumerated URA Powers”);

WHEREAS, the Developer intends to develop the Property substantially in accordance with the submitted Site and Engineering Plan (“Site Plan”) (as it applies to the Property and any additions to the Property as the Parties may agree are to be included in this Agreement) depicted in Site Plan application PUDC-24-181 submitted on September 26, 2024, which is incorporated in and made a part of this Agreement by this reference;

WHEREAS, the Site Plan may be supplemented, updated, and clarified as to its more specific application to the Property;

WHEREAS, this Agreement shall, among other things, allocate and pledge the Tax Increment produced from increases in ad valorem property taxes levied on real and personal property within the Area to the Developer, its affiliates, and approved assigns in accordance with this Agreement;

WHEREAS Developer proposes to acquire land; abate, demolish, and remove blighted structures; relocate utility lines within the boundaries of the project; remediate any environmental contamination; improve streets (including curb, gutter, sidewalk, street trees, and street furnishings); and construct multifamily buildings as part of the implementation of the Plan in the URA, which the scope of work (including but not limited to labor, materials, equipment, transport, disposal fees, and site cleanup and site stabilization) is described and defined on Exhibit A attached hereto (the “Developer Work”);

WHEREAS Developer Work is in the interest of the health, safety, and welfare of the public and the reimbursement of the cost of the Developer Work and the performance of the City’s obligations under this Agreement are within the Statutorily Permitted URA Scope and the Specifically Enumerated URA Powers, the City has the intent and authority to reimburse the Lender for the Developer Work on the terms provided in this Agreement;

WHEREAS, on September 5, 2024, the Cheyenne Urban Renewal Authority Board considered the Developer’s application for Tax Increment financing for the Property; found it met applicable review criteria, directed City staff to draft a development agreement for Tax Increment Financing for tax increment financing of up to four million seven hundred eighty two thousand eight hundred twenty four dollars (\$4,782,824) in TIF assistance to be collected over a twenty (20)-year period; and recommended the Governing Body approve the development agreement;

WHEREAS the parties have agreed, in consideration of the foregoing statements, to execute this Agreement subject to and on the terms and conditions set forth herein; and

WHEREAS, the City agrees to pledge payment of the Tax Increment to or on behalf of the Developer as provided herein.

NOW THEREFORE, in consideration of the mutual promises contained herein and for other good and valuable consideration, the receipt and adequacy of which are hereby acknowledged, the Parties agree as follows:

II. Terms: The Parties agree as follows:

1. Performance of Developer Work. Subject to the terms and conditions contained herein, the Developer shall complete Developer Work on as described in Exhibit A.

2. Approvals. It shall be the obligation of the Developer, its contractors, subcontractors, employees, and its successors and/or assigns to obtain any local, county, state and federal governmental permits, and approvals necessary to undertake and perform Developer Work, as generally described on the Plan (as defined below in Paragraph 3) and otherwise; including, but not limited to, (i) an individual grading, demolition, building, planning or other permit for each Structure to be removed and for which such permit is required; (ii) the posting of a performance guaranty and inspection escrow associated with demolition, grading, and any other applicable work as may be required by any governmental authority; (iii) local, county, and state sanitary sewer approvals as may be required under applicable law; (iv) local, county, and state water approvals as may be required under applicable law; and/or (v) any state or federally required environmental permits, inspections, or coordination. This Agreement shall not be construed to grant or endorse any such governmental approvals.

3. Plans. In addition to Paragraph 2 above, Developer has caused to be prepared, and will continue to prepare, any and all engineering construction, demolition, or development plans and specifications necessary to implement the Developer Work (collectively the "Plan"). Once approved by the relevant governmental authorities, the Plan, as it is approved and modified with the required approvals, shall thereafter be incorporated into and made a part of this Agreement by reference. The Developer shall construct the Developer Work in accordance with the Plan as approved and described in this Agreement. This Agreement shall not be construed to grant, endorse, or approve the Plan.

4. Standard of Work, Maintenance, and Repair. Developer will protect, maintain, repair, and/or replace those portions of the Property to remain (including but not limited to above and below-ground utilities (private or public utility service lines (if remaining), private or public utility transmission mains and fixtures, certain fixed property, and any certain plant materials or other items specified to remain). Any Developer Work requiring replacement or remediation shall be installed in compliance and conformance with the Plan as approved by the City. Developer Work shall be installed in a good and workmanlike fashion, in a manner acceptable to the City, and in conformance with any applicable local, county, state and federal laws, statutes, ordinances, regulations, and standards.

5. Indemnity. The Owner, Developer, its contractors, subcontractors, employees, and its successors or assigns, agree to indemnify and hold the City, its elected officials, employees, professionals, agents, servants, successors and assigns, harmless from and against, any and all claims, actions, liability, and expenses in connection with injury or loss of life to person or damage to property arising from the Developer's performance of its obligations under this Agreement; provided that such indemnification shall not apply to the negligence or intentional misconduct of the City, its agents, servants, contractors, employees or representatives.

6. Phasing. Developer intends to execute the Developer Work as specified herein over a period of no more than twenty-four (24) months, in a continuous and uninterrupted fashion. The City shall maintain the right to rescind this agreement should the Developer not complete the

work in the allocated timeframe. No penalty is to be incurred if Developer Work is not completed due to Unavoidable Delays. Unavoidable Delays shall mean delays resulting from acts or occurrences outside the reasonable control of the party claiming the delay including but not limited to pandemics, storms, floods, fires, explosions, or other casualty losses, unusual weather conditions, strikes, boycotts, lockouts, or other labor disputes, litigation commenced by third parties, acts of any federal, state, or local governmental unit, COVID-19 driven supply chain disruptions and material shortages, or acts beyond the reasonable control of Owner and/or Developer.

7. Completion. Notwithstanding the foregoing or any other provision herein, “Completion” of Developer Work includes the removal of all structures and construction of new structures and is furthermore defined as full City acceptance and closure of open demolition and construction permits on the structures as determined by the City of Cheyenne Chief Building Official (“CBO”) (“Acceptance”). In the event that the Developer Work is not completed within twenty-four (24) months of the date of this Agreement, then any portion of the Developer Work not completed by that date may not be eligible for reimbursement unless otherwise agreed in writing by all parties hereto (see Exhibit B, attached hereto).

8. Bonding and Acceptance. The Developer may post bonds, performance guaranties and/or security required for the Developer Work pursuant to all applicable laws. Any required bonds, performance guaranties and security shall be posted prior to the commencement of Developer Work. Developer reserves the right to post said instruments on the entirety of the project or as appropriate by phase. Promptly after the completion of the Developer Work as bonded, the CBO will perform a final inspection, and subject to the limitations and requirements of applicable law and this Agreement, the performance guaranties and security shall be released, including any and all security deposit(s) previously paid on the permit application(s) as otherwise noted herein.

9. Reimbursement.

A. The price or prices stated in the Plan and Developer Work are based on estimated quantities of materials requiring disposal, fees for said disposal, prices for component materials, labor rates applicable to the Developer Work, in effect as of the date of this Agreement are estimates. If, at any time prior to the completion of performance of the Developer Work to be performed pursuant to the Plan, any of such material prices, labor rates, freight rates, or other Developer Work rates may be increased or decreased, based on actual values or quantities; and in respect to any of the Developer Work performed hereunder there shall be a corresponding increase or decrease in the prices stated in the Plan, but shall not exceed a total of Tax Increment allocation of up to four million seven hundred eighty two thousand eight hundred twenty four dollars(\$4,782,824.)

B. Developer grants, conveys, and assigns to Lender the right to receive all reimbursements from the City for the actual and reasonable costs incurred for Developer Work, reimbursement shall occur from the actual tax increment allocation generated by the property. The Lender’s right to receive reimbursement from the City shall continue until the balance of the loan is paid in full or otherwise agreed to in writing and signed by Developer, and Lender, and delivered to the City.

C. Upon Completion and Acceptance of Developer Work, and when sufficient Tax Increment has been collected, Lender is entitled to receive reimbursement in full, from the City, of the actual and reasonable costs incurred for Developer Work. Following Completion and Acceptance, Developer shall, within ninety (90) upon completion of Developer Work, submit a written reimbursement request to City along with all said verified record(s) (the "Request").

D. City shall have thirty (30) days to respond to Owner's and/or Developer's Request in writing indicating either (i) acceptance in full of the Request; (ii) dispute of the Request in whole or in part; or (iii) ask for further information to substantiate or verify the cost(s) in the Request. Any City response other than full acceptance of the Request shall include a timeline for Developer to respond, being no less than fifteen (15) days following the date of the City's response.

E. Following acceptance of the substantiated Request, the City shall provide payment of reimbursement within forty-five (45) days of written acceptance. Notwithstanding any other provision in this Agreement to the contrary, (i) the City's obligation to reimburse Lender pursuant to this Section is limited as defined in the Exhibits A and B and not to exceed the Tax Increment allocation identified in subsection 9. A. of this Agreement; and (ii) the City's reimbursement and payment obligations under the terms of this Agreement are specifically not a general obligation of the City and are only payable from the net proceeds (net of the City's expenses) special fund actually received by the City generated by the Property, which special fund is comprised of the portion of taxes payable to the City pursuant to Wyo. Stat. § 15-9-120 of the URA Code, and Owner, Developer, and Lender waive any right to claim any payment from the City pursuant to this Agreement except to the extent of net revenues actually received in such special fund. Any reimbursement shall not exceed the balance of the special fund account at the time of request.

F. By their signature affixed hereto, Owner, Developer, and Lender acknowledge and agree that notwithstanding any other provision in this agreement, the obligations of the City under this agreement are limited solely to the net proceeds (net of the city's expenses) special fund actually received by the City, which special fund is comprised of the portion of taxes payable to the city pursuant to Wyo. Stat. § 15-9-120 of the URA Code, and the obligations of the city hereunder are not a general obligation of the City and the Owner, Developer, and Lender may not institute a suit against the City to recover amounts due to Developer, Owner or Lender from any other source other than the foregoing special fund under the URA code.

G. "Soft Costs" are eligible for reimbursement, including, but not limited to, Administrative Costs, Engineering Costs, Permit and Application Fees (including, but not limited to, third party review of the application, recording costs, etc.), and any other "hidden fee(s)" which are not substantiated by an invoice or verified expense of funds. Disposal/dump fees for disposal of structures demolition waste are eligible for reimbursement (Exhibit B). Loan interest is also eligible for reimbursement.

H. The obligations of the City to make reimbursements pursuant to this Section shall adhere to the Exhibits A and B. Notwithstanding the provisions of this Section, the

City's obligation to make any reimbursement payment under this Agreement shall be subject to satisfaction of the following conditions precedent:

i. The Owner and Developer shall be in material compliance with all the terms and provisions of this Agreement at the time of reimbursement; and

ii. The Developer Work shall be completed and fully assessed, and a certificate shall have been issued for the completion of the project.

I. The Request for reimbursement shall include all supporting materials and details as may be required by the City to substantiate the reimbursement and to comply with the URA Code. Prior to the City having any obligation to make a reimbursement pursuant to this Section, the City shall have a reasonable opportunity to inspect and approve any and all Developer Work. Owner and Developer agree that they shall permit designated representatives of City, upon reasonable notice to Developer, to enter upon the Property during construction of the Developer Work to inspect such construction and progress thereof.

10. Recordation. This Agreement shall be recorded in the office of the Laramie County Clerk; any cost of said recordation or filing shall be at the expense of the Developer/Owner.

11. Representations and Warranties of Developer and Owner. Developer/Owner hereby represents and warrants to the City that it is in good standing and authorized to do business in the State of Wyoming. Developer/Owner is authorized to execute and deliver this Agreement to perform its obligations hereunder, which actions do not require the consent or approval of any third party, except as otherwise specified herein.

12. Representations and Warranties of Developer and Owner. Developer/Owner hereby represents and warrants to the City that it is in good standing and authorized to do business in the State of Wyoming. Further, Developer is in the construction and real estate development business and possesses the requisite experience and expertise to complete the Developer Work in accordance with the terms of this Agreement. Developer is authorized to execute and deliver this Agreement to perform its obligations hereunder, which actions do not require the consent or approval of any third party, except as otherwise specified herein.

13. Insurance and Waiver of Subrogation. During the term of this Agreement, the Developer shall maintain comprehensive general liability insurance coverage (which shall include worker's compensation coverage in statutory amounts) in amounts of no less than \$3,000,000 per incident and \$1,000,00 per occurrence. Such coverage shall name the City as an additional insured and shall be with companies reasonably acceptable to the City. All policies shall be in a form reasonably acceptable to the City. Prior to the commencement of the Developer Work, the Developer shall provide the City with a copy of a paid policy, or a certificate issued by the insurer certifying the existence of the coverage described herein. All insurance policies shall include a provision requiring a minimum of thirty (30) days' written notice to the City for cancellation and non-renewal. To the extent that any loss or claim results from the performance of any parties' performance of their obligations hereunder and is covered by insurance then the parties waive their respective rights of subrogation as against each other.

14. Governmental Immunity. The City, along with its officials and employees, does not waive its governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City specifically retains all immunities and defenses available to it as a sovereign or governmental entity pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other relevant state and federal laws. Designations of venue, choice of law, enforcement actions, and similar provisions should not be constructed as a waiver of governmental immunity. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to governmental or sovereign immunity shall be construed in favor of governmental immunity.

15. Relationship of Parties. Nothing contained in this Agreement shall be deemed or construed, either by the parties hereto or by any third party, to create the relationship of principal and agent or create any partnership, joint venture, or other association between the City and the Owner, Developer, or Lender.

16. Default.

A. In the event that any party fails to perform its duties and obligations under this Agreement after ten (10) days written notice (provided that if the failure to perform is of such nature that it cannot reasonably be cured in ten (10) days, then there shall be no default so long as the party is making a diligent and good faith effort to correct the deficiency) then there shall be an event of default and the aggrieved party shall have any and all rights to which it is entitled at law or in equity, including the right to seek immediate injunctive relief in a court of competent jurisdiction notwithstanding the provisions set forth above.

B. Whenever an event of default of this Agreement occurs and is continuing after proper notice and the period to cure has lapsed, as described above, the City, as specified below, may take any one or more of the following actions after:

i. The City may suspend its performance under this Agreement until it receives assurances from the defaulting party or parties, deemed adequate by the City, that the defaulting party or parties will cure its default and continue its performance under this Agreement;

ii. The City may terminate this Agreement;

iii. The City may withhold the certificate of completion;

iv. The City shall have no obligation thereafter to make any payments for the Developer Work;

v. The City shall be entitled to recover from the defaulting party or parties, taking any action, including legal action, it deems necessary to recover, and Developer shall repay to the City, an amount equal to the full amount of any payments for the Developer Work previously made to Lender, with interest thereon at the highest rate permitted by State law; and

vi. The City may take any action, including legal, equitable, or administrative action, which may appear necessary or desirable to enforce performance and observance of any obligation, agreement, or covenant of the Owner and/or Developer, as the case may be, under this Agreement.

C. In addition to the foregoing in the event any patent or latent defect in the Developer Work is discovered by City, City shall have the right to offset the cost to cure such defect against any amount otherwise reimbursable under this Agreement.

D. No remedy herein conferred upon or reserved to the City is intended to be exclusive of any other available remedy or remedies, but each and every remedy shall be cumulative and shall be in addition to every other remedy given under this Agreement or now or hereafter existing at law or in equity or by statute.

E. No delay or omission to exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver thereof, but any such right and power may be exercised from time to time and as often as may be deemed expedient.

17. Assignment by Owner. The Owner shall have the right to assign its rights, duties, and obligations under this Agreement to a single entity that owns all or a portion of the Property with the City's and Lender's written consent which shall not be unreasonably withheld, conditioned or denied. The obligations of the Owner hereunder shall be binding on all successors and assigns and shall run with the land.

18. Assignment by Developer. The Developer shall have the right to assign its rights, duties, and obligations under this Agreement, in whole or in part, to a single entity with similar areas of expertise and experience, with the City's and Lender's written consent which shall not be unreasonably withheld, conditioned or denied. In the event of such assignment, the succeeding developer must post a substitute performance guaranty or security in a form acceptable to the City. The obligations of the Developer hereunder shall be binding on all successors and assigns and shall run with the land.

19. Term. The term of this Agreement shall commence upon its execution and shall continue until the earlier of (i) the maximum term for completion of the Developer Work as set forth above; (ii) the date on which the Lender or in the total aggregate between the Lender and Owner, in accordance with Section 9(b), have received reimbursement in the maximum amount set forth herein; or (iii) a period of twenty (20) years after the date and year this Agreement has been executed by all parties or the maximum duration of the TIF until such time the Developer Work has been reimbursed, whichever is longer, at which point this Agreement will expire.

20. Retroactive Effect. Once fully executed, this Agreement shall be deemed effective between the Parties from the date the Developer began Development Work, including soft costs, on the Property. Specifically, the Developer shall be able to submit for reimbursement, costs for work already performed and materials already used in Development Work on any reimbursement Request submitted to the City, as described in Section 9.

21. Governing Law. The terms and conditions of this Agreement shall be governed and construed in accordance with the laws of the State of Wyoming.

22. Counterparts. This Agreement may be executed in multiple counterparts, each of which shall be deemed an original, but all of which, together, shall constitute one and the same instrument.

23. Entire Agreement. This Agreement (including the Exhibits attached hereto) contains the entire agreement between the parties with respect to the subject matter hereof and supersedes all prior and contemporaneous representations, statements, understandings, negotiations and agreements, oral or written, between the parties, if any, with respect thereto.

24. Severability. If any of the provisions of this Agreement are deemed invalid, void or illegal, then the provisions so affected shall be deleted from this Agreement. All remaining provisions shall remain in full force and effect.

25. Further Assurances. City, Lender, Developer, and Owner agree that each will take any and all action including but not limited to the execution of any documentation which may be necessary to effectuate the intent of the parties as set forth in this Agreement.

SEE FOLLOWING PAGES FOR SIGNATURES AND ACKNOWLEDGMENTS

IN WITNESS WHEREOF, the parties to this Agreement, through their duly authorized representatives, have executed this Agreement on the days and dates set out below and certify that they have read, understood, and agreed to the terms and conditions of this Agreement.

This Agreement is effective the date of the last signature affixed to this page.

CITY OF CHEYENNE, WYOMING

By: _____ Date _____
Patrick Collins, Mayor

(SEAL)

Attest:

BY: _____
Kristina F. Jones, City Clerk

STATE OF WYOMING)
) SS.
COUNTY OF LARAMIE)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared Patrick Collins, with whom I am personally acquainted, and who, upon oath, acknowledged that (s)he is the Mayor of the City of Cheyenne, and that (s)he executed the foregoing instrument for the purposes therein contained, by signing their name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this ____ day of _____, 2024.

Notary Public, Laramie County, Wyoming

My commission expires: _____

DEVELOPER:

Stencil Group, a South Dakota Corporation

By: Nathan Stencil, CEO

STATE OF WYOMING)
) SS.
COUNTY OF LARAMIE)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared Nathan Stencil, with whom I am personally acquainted, and who, upon oath, acknowledged that he is the Chief Executive Officer of Stencil Group and that he executed the foregoing instrument for the purposes therein contained, by signing his name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this ____ day of _____, 2024.

Notary Public, Laramie County, Wyoming

My commission expires: _____

OWNER:

Stencil Group, a South Dakota Corporation

By: Nathan Stencil, CEO

STATE OF WYOMING)
) SS.
COUNTY OF LARAMIE)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared Nathan Stencil, with whom I am personally acquainted, and who, upon oath, acknowledged that he is the Managing Member of Stencil Group, and that he executed the foregoing instrument for the purposes therein contained, by signing his name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this ____ day of _____, 20__.

Notary Public, Laramie County, Wyoming

My commission expires: _____

LENDER (Lender):

By: _____

STATE OF WYOMING)
) SS.
COUNTY OF LARAMIE)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared _____, with whom I am personally acquainted, and who, upon oath, acknowledged that (s)he is the _____ of _____, and that (s)he executed the foregoing instrument for the purposes therein contained, by signing their name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this ____ day of _____, 2024.

Notary Public, Laramie County, Wyoming

My commission expires: _____

EXHIBIT A - DEVELOPER WORK – OVERALL SUMMARY

Stencil group is vertically integrated development/construction/management company from Sioux Falls SD that specializes in building high quality buildings for the workforce of smaller communities in the Midwest. Over the years, Stencil Group has developed a reputation as a first-class commercial construction company. Stencil has 15 years of construction and development experience in the multifamily sector and have constructed over 3000 units to date. Throughout this time, Stencil has honed in construction techniques and built relationships with many subcontractors and suppliers. Stencil also has the capacity to form relationships and utilize local subcontractors and suppliers. Additionally, Stencil has extensive familiarity with tax increment financing using it in a variety of communities.

Stencil Group is constructing a two phase 194 unit Project at 6102 US Highway 30. The buildings will contain studio, 1-bedroom and 2-bedroom units as well as a robust amenity package; including a gym area, a large, landscaped plaza, a dog park and large fully furnished community room with attached rooftop patio. This building will feature premium exterior finishes that will complement the area. The project will help to contribute to a premium aesthetic in the vicinity, visible from the current Highway 30 renovations which will add a spark to the renewal of the area. This development will also feature premium interior finishes such as modern design, stone countertops, in-unit laundry, and premium lighting that the residents of Cheyenne will be proud to call home. The project will be built with a rent target that will be affordable for the workforce of the City and provide tremendous value, allowing the people of Cheyenne to experience comfortable living with premium amenities at a reasonable price.

The following pages illustrate the Developer Work to be completed through the process. The first provides the overall cost of the development. The second provides a site plan of the building to be constructed, and the third is an architectural rendering of the proposed project.

EXHIBIT A - DEVELOPER WORK – COST

Description of Work	Cost
Land	\$1,995,000.00
Interest/Financing Fees	\$3,583,000.00
Syndication/Organizational Costs	\$ 105,000.00
FFE	\$383,368.00
Marketing/Leasing/Reserves	\$604,048.02
Architectural/Engineering	\$600,000.00
Developer Fee	\$1,500,000.00
General Conditions	\$1,500,000.00
Site Services/Overhead	\$1,900,000.00
Surveying	\$75,000.00
Street Cleaning/Snow Removal	\$10,000.00
Permits	\$350,000.00
Special Inspections	\$50,000.00
Site Work and Utilities	\$1,800,000.00
Building Concrete	\$2,050,000.00
Precast Beams, Columns, Hollowcore Plank	\$1,700,000.00
Waterproofing & Foundation Insulation	\$50,000.00
Framing--Labor ONLY	\$1,300,000.00
Lumber & Truss Package	\$2,490,000.00
Masonry	\$90,000.00
Hardie Siding	\$400,000.00
Siding Labor	\$350,000.00
Roof Davits	\$150,000.00
Roofing & Pavers - Labor & Material	\$70,000.00
Gypcrete	\$230,000.00
Fire Suppression	\$582,522.96
HVAC	\$-
HVAC Equipment	\$2,000,000.00
Plumbing	\$1,806,000.00
Electrical, Communication & Security, SOLAR	\$2,350,000.00
Drywall	\$1,800,000.00
Decks	\$471,082.61
Railings	\$23,853.57
Windows	\$351,000.00
Aluminum Entrances	\$60,730.43
Elevator	\$295,200.00
Asphalt & Site Concrete	\$500,000.00
Misc. Steel	\$40,000.00
Insulation	\$500,000.00
Caulk & Sealants	\$40,000.00
Finish Carpentry	\$380,000.00

Millwork, Doors & Frames, Hardware	\$850,000.00
Cabinetry	\$650,000.00
Countertops & Sinks	\$290,000.00
Specialties	\$200,000.00
Mirrors	\$30,000.00
Overhead Doors	\$32,000.00
Floor Coverings and Tile	\$690,000.00
Paint and Wall Coverings	\$360,000.00
Appliances	\$690,000.00
Landscaping and Retaining Walls	\$300,000.00
Signage	\$40,000.00
Shelving	\$40,000.00
Window Treatments	\$60,000.00
Acoustical Ceilings	\$60,000.00
Fencing	\$50,000.00
Equipment Rental	\$200,000.00
Winter Conditions	\$225,000.00
Final Cleaning	\$80,000.00
Umbrella Liability Insurance	\$530,000.00
Contingency	\$715,000.00
Grand Total	\$40,677,805.59

EXHIBIT A - DEVELOPER WORK – RENDERING



EXHIBIT B – ELIGIBLE COSTS

The Jolly Rogers Urban Renewal Plan and Project details the following as eligible costs:

1. To the maximum extent possible under Wyoming law and the Wyoming Constitution, aid in site acquisition costs;
2. relocate utilities as necessary, specifically the water and sewer lines on the southern property line;
3. improve stormwater facilities on the site;
4. remediate any environmental contamination;
5. improve any streets and curb, gutter, and sidewalks; and
6. to the maximum extent possible under Wyoming law and the Wyoming Constitution, facilitate economic development and site beautification.

US 30 Eligible Costs	Cost	Criteria
Land	\$ 1,995,000.00	1
Syndication/Organizational Costs	\$ 40,000.00	All
Architectural/Engineering	\$ 150,000.00	All
General Conditions	\$ 150,000.00	2, 3, 4, 5
Surveying	\$ 25,000.00	All
Permits	\$ 35,000.00	All
Special Inspections	\$ 15,000.00	All
Site Work and Utilities	\$ 1,600,000.00	2, 3, 5
Building Concrete	\$ 750,000.00	2, 3, 5
Plumbing	\$ 125,000.00	2
Electrical, Communication and Security, SOLAR	\$ 125,000.00	2
Asphalt and Site Concrete	\$ 200,000.00	2, 3, 5
Landscaping and Retaining Walls	\$ 150,000.00	6
Umbrella Liability Insurance	\$ 35,000.00	All
Contingency	\$ 50,000.00	All
Masonry	\$ 90,000.00	6
Hardie Siding	\$ 400,000.00	6
Decks	\$ 471,082.61	6
Railings	\$ 23,853.57	6
Windows	\$ 351,000.00	6
Total Eligible	\$ 6,780,936.18	
Total Requested	\$ 4,782,824.00	

September 5th Urban Renewal Authority Staff Report

**(For background information and not a
development agreement exhibit)**



A COMMUNITY OF CHOICE

Planning and Development Department

2101 O'Neil Avenue, Suite 202, Cheyenne WY 82001

(Phone) 307-637-6282 (Fax) 307-637-6366

URBAN RENEWAL AUTHORITY BOARD

SEPTEMBER 5, 2024

STAFF REPORT

REQUEST: Tax Increment Financing (TIF) application for a portion of Lot 1, Block 1, Jolly Rogers Subdivision

PURPOSE: To build a multi-story, 194-unit apartment complex on the subject property

LOCATION: Northwest of U.S. 30 and Whitney Road

APPLICANT: Jack Weber (NJS Development, LLC / Stencil Development)

OWNER: Jolly Roger, LLC

AGENT: Mark Christensen, AVIpc

CASE NUMBER: PLTF-24-2

PREPARED BY: Charles W. Bloom, AICP, Planning and Development Director

RECOMMENDED MOTION:

Move to approve of the Tax Increment Financing application in the amount of up to \$4,782,824 in TIF assistance to be collected over a 20-year period with this project noting the application meets all review criteria and direct staff to draft a development agreement for review and approval by the Governing Body.

UPDATE:

A Tax Increment Financing (TIF) assistance application was considered at the July 3, 2024, URA Board meeting. The Board approved the TIF application in an amount of up to \$2,579,590 in TIF assistance to be collected over a 20-year period with this project subject to the following condition:

“Prior to forwarding a Development Agreement to the Governing Body, the applicant shall come back to the Board to prove that an acceptable financial gap exists, clarify proposed costs that will be eligible for TIF, and to clarify their proposed return on investment.

At the meeting, the peer review had not been completed and it could not be determined that criterion three had been met. Criterion three reads as follows: “The project has demonstrated a financial feasibility gap or may not be constructed without the tax increment financing assistance.” Since the last meeting, the peer review has been completed by Economic and Planning Systems, Inc. (EPS).

The motion also requested clarification that the applicant provided clarification regarding proposed costs to be covered by TIF. The applicant’s agent has provided clarification, and the total request is \$4,782,824 which is reflected in the recommended motion.

EPS reviewed this project as well as the other and both reviews are consolidated into one document. They performed an analysis of the project's leveraged returns to evaluate how the loan terms would affect its financial performance. This analysis focused on the project's financial results after the developer has met all financial obligations, including debt repayment. This looked at a variety of factors including Escalation Rate, Capitalization Rate, Disposition Year, and Hurdle Rate. This approach is described on page 18 of the attached EPS memorandum.

Page 19 of the of the EPS memo states: "Without public investment, the project is estimated to generate a Net Present Value (NPV) of a negative \$1.9 million, equating to an Internal Rate of Return (IRR) of 14.59 percent, as shown in Table 14. With public investment, the project is anticipated to generate an NPV of negative \$584,855 and an IRR of 16.65 percent, as shown in Table 15." The EPS memo also elaborates that the levered return metrics show that the project would not be financially feasible with or without public assistance.

Page 23 of the EPS memo concludes that the developer's request for TIF award is justified.

CONCLUSION:

Staff has reviewed the proposal, EPS's memo, and determined that the project has now met all review criteria.

STAFF RECOMMENDATION:

Staff recommends **approval** of the Tax Increment Financing application in the amount of up to \$4,782,824 in TIF assistance to be collected over a 20-year period with this project noting the application meets all review criteria.

ATTACHMENTS:

1. Economic and Planning Systems, Inc. review memo
2. July 3, 2024, URA staff report.

MEMORANDUM

To: City of Cheyenne Urban Renewal Authority

From: Daniel Guimond and Colton Harguth, Economic & Planning Systems

Subject: Black Tooth and Jolly Rodgers Financial Evaluation;
EPS #243065

Date: September 4, 2024

The Economics of Land Use



Introduction

The City of Cheyenne Urban Renewal Authority (URA) has retained Economic & Planning Systems (EPS) to review two tax increment financing (TIF) revenue requests from Stencil Group (Owner/Developer). The first project, Black Tooth, is a five-story, 100-unit multifamily apartment building located at 611 W 19th St. The second project, Jolly Rodger, is a two-phase, 194-unit development at 6102 US Highway 30. The Developer has indicated that these projects are not financially feasible without City assistance due to supply chain issues, inflation, rising interest rates, and the costs of remediating blighted conditions on the sites.

EPS was retained by the City to conduct an independent third-party review of these proposals, focusing on their market viability, financial performance, and justification for the requested funding assistance. This memorandum summarizes EPS's analysis and conclusions regarding each project, as outlined in the following sections:

- **Development Program** – A summary of the proposed development, including project location, type and amount of development, proposed market values, and expected construction and absorption timelines.
- **Market Conditions** – An overview of apartment market conditions in Cheyenne, with a focus on the downtown subarea. This includes data on total inventory, recent growth trends, and current rental and vacancy rates. This research, alongside a review of recently completed comparable projects in downtown Cheyenne, forms the basis for evaluating the revenue assumptions in the Developer's financial pro forma.

*Economic & Planning Systems, Inc.
730 17th Street, Suite 630
Denver, CO 80202-3511
303 623 3557 tel
303 623 9049 fax*

*Denver
Los Angeles
Oakland
Sacramento*

- **Development and Construction Values** – An estimate of the project’s development and construction costs, as well as operating costs and revenues. This section includes a review of current City development and construction costs using information from builder cost databases, developer submissions, and discussions with area developers.
- **Financial Analysis** – An evaluation of the Developer’s 10-year cash flow pro forma including development program and timing, construction costs, operating revenues and expenses, and projected returns. EPS developed its own financial model to calculate project returns, measured by net present value (NPV) and internal rate of return (IRR). The analysis includes scenarios with and without public investment to confirm the existence of a funding gap and to verify that the requested funds are necessary for a feasible development and a reasonable developer return.

Development Program

Black Tooth is a proposed multifamily development set to be constructed on an 0.32-acre parcel at 611 W. 19th St. As detailed in **Table 1**, the development includes a total of 100 units, comprising 17 studio, 35 one-bedroom, and 48 two-bedroom apartments. Expected rental rates are estimated to range from \$1,246 for studios to \$1,940 for two-bedroom units. Construction is scheduled to commence in 2025.

Table 1. Black Tooth Development Program

Description	Units	% of Total	Unit SF	RSF	Construction		Value	
					Start	Finish	Rent	PSF
Multifamily								
Studio	17	17.0%	517	8,786	2025	2026	\$1,246	\$2.41
1 Bedroom	35	35.0%	656	22,960	2025	2026	\$1,754	\$2.67
2 Bedroom	48	48.0%	955	45,860	2025	2026	\$1,940	\$2.03
Total/Average	100	100.0%	776	77,606	--	--	\$1,756	\$2.26
Commercial								
Storage	40	100.0%	=	=	2025	2025	\$25.00	=
Total	40	100.0%	0	0	2025	2025	\$25.00	--
Total/Average				77,606 Rentable 91,301 Gross				

Source: Developer Financial Documents; Economic & Planning Systems

Jolly Rodgers is a proposed multifamily development set to be constructed on an 11.97-acre parcel at 6102 US Highway 30. As detailed in **Table 2**, the development includes a total of 194 units, comprising 42 studio apartments, 64 one-bedroom apartments, and 88 two-bedroom apartments. Expected rental rates will range from \$1,188 for studios to \$1,767 for two-bedroom units. Construction is scheduled to commence in 2025.

Table 2. Jolly Rodgers Development Program

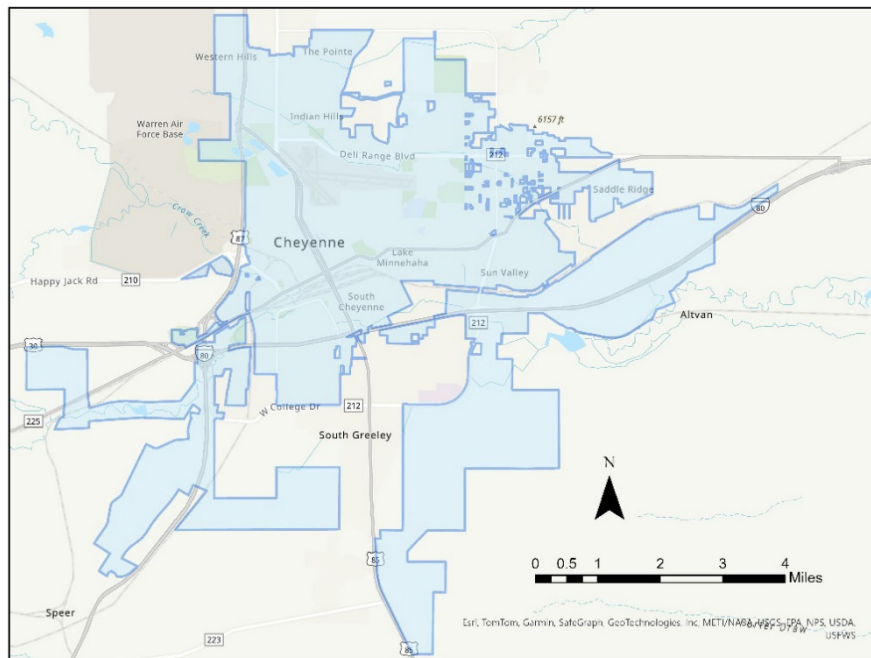
Description	Units	% of Total	Unit SF	RSF	Construction		Value	
					Start	Finish	Rent	PSF
Multifamily								
Studio	42	21.6%	519	21,796	2025	2026	\$1,188	\$2.29
1 Bedroom	64	33.0%	656	41,984	2025	2026	\$1,527	\$2.33
2 Bedroom	88	45.4%	1,010	88,910	2025	2026	\$1,767	\$1.75
Total/Average	194	100.0%	787	152,690	--	--	\$1,562	\$1.99
Commercial								
Storage	80	100.0%	--	--	2025	2025	\$25.00	--
Total	80	100.0%	0	0	2025	2025	\$25.00	--
Total/Average				152,690 Rentable 179,635 Gross				

Source: Developer Financial Documents; Economic & Planning Systems

Market Conditions

EPS compiled data on new multifamily development within the boundaries of the City of Cheyenne, as shown in **Figure 1**.

Figure 1. City of Cheyenne



Since 2016, the City of Cheyenne has added nine comparable multifamily housing developments totaling 770 units, as shown in **Table 3** below. Most of the units built since 2016 were in market-rate developments, as shown below. The average rental rate for the new construction market rate developments since 2016 is \$1,676 or \$1.62 per square foot.

Table 3. Recent Development

Name	Address	Status	Affordable Type	Year	Stories	Units	Avg. Rent (per unit)	Avg. Rent (per SF)	Vacancy %
<u>Market Rate Developments</u>									
Ridge View Apartments	2025 E Carlson St	Existing	N/A	2023	3	232	\$1,758	\$1.61	50.9%
Saddle Ridge Apartments	6830 Countryside Ave	Existing	N/A	2023	3	99	\$1,905	\$1.86	17.0%
Holmes Corner Apartments	3502-3518 Holmes St	Existing	N/A	2022	3	96	\$1,663	\$1.58	10.2%
Cheyenne North College	4100 Rock Springs St	Existing	N/A	2019	3	91	\$1,364	--	9.0%
Carter Cottages	5467 Carter Rd	Existing	N/A	2017	2	44	\$1,407	\$1.20	4.6%
Total/Average Market Rate						562	\$1,676	\$1.62	18.3%
<u>Affordable Developments</u>									
Hawk's Point Senior Apartments	3333 Sparks Rd	Existing	Rent Restricted	2021	3	56	\$847	\$1.12	--
Converse Place	5807 Converse Ave	Existing	Rent Restricted	2019	3	72	\$973	\$0.90	1.4%
South Ridge	3207 Randy Rd	Existing	Rent Restricted	2018	3	40	\$969	\$0.89	--
Grand Harmony Apartments	1524 Grand Harmony Blvd	Existing	Affordable Units	2016	--	40	\$784	\$0.77	42.5%
Total/Average Affordable						208	\$902	\$0.93	22.0%

Source: CoStar; Economic & Planning Systems

There are at least 212 units currently proposed or under construction in the City of Cheyenne. These include the Fox Farm Townhomes, a 48-unit affordable townhome complex, Robin's Point apartments, a 48-unit LIHTC project, and 116 units in the Sweetgrass development.

A selected sample of recent multifamily developments located in the City of Cheyenne are profiled below.



Fox Farm Townhomes

Affordable Units

515 W. Prosser Rd

Size: 53,983 sq. ft.

Year Built: 2024

Units: 48

Average Rent PSF: \$0.80



Ridge View Apartments

Market Rate

2025 E. Carlson St

Size: 500,000 sq. ft.

Year Built: 2023

Units: 232

Average Rent PSF: \$1.61



Saddle Ridge Apartments

Market Rate

6830 Countryside Ave

Size: 101,059 sq. ft.

Year Built: 2023

Units: 99

Average Rent PSF: \$1.86



Holmes Corner Apartments

Market Rate

302-3518 Holmes St

Size: 95,000 sq. ft.

Year Built: 2022

Units: 96

Average Rent PSF: \$1.58



Converse Place

Rent Restricted

5807 Converse Ave

Size: 82,512 sq. ft.

Year Built: 2019

Units: 72

Average Rent PSF: \$0.90



Hawk's Point Senior Apartments

Rent Restricted

3333 Sparks Rd

Size: 56,000 sq. ft.

Year Built: 2021

Units: 56

Average Rent PSF: \$1.12



Cheyenne North College

Market Rate

4100 Rock Springs St

Size: 48,724 sq. ft.

Year Built: 2019

Units: 91



Carter Cottages

Market Rate

5467 Carter Rd

Size: sq. ft.

Year Built: 2017

Units: 44

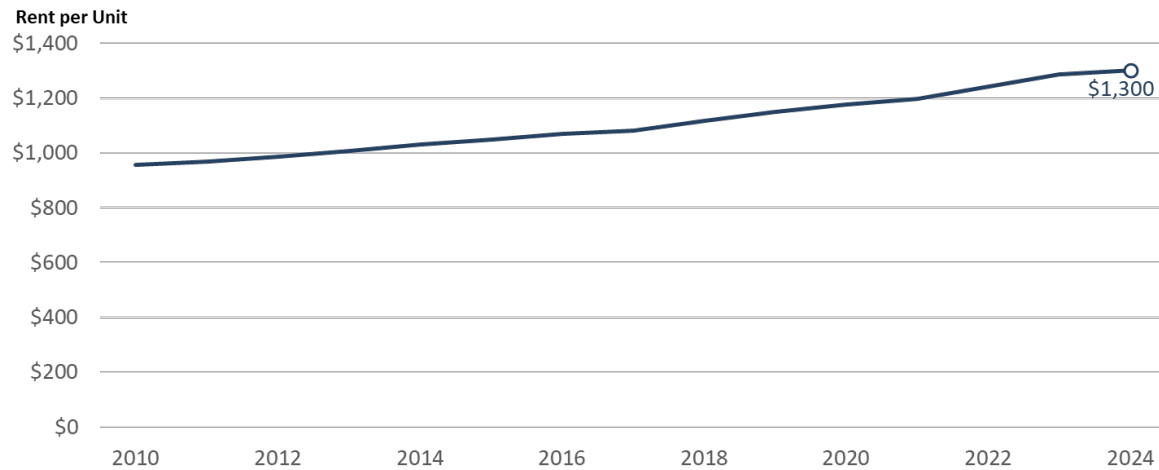
Average Rent PSF: \$1.20

Source: CoStar; County Assessor Offices; Economic & Planning Systems

Rental Rates

The overall average rental rate is currently \$1,300 per unit in the City of Cheyenne, as shown in **Figure 2**.

Figure 2. Multifamily Rent Per Unit, 2010-2024



Rental rates have increased at a steady rate since 2010, as shown in **Table 4**. In the City of Cheyenne, rental rates increased by \$344 per unit, from \$956 in 2010 to \$1,300 in 2021, representing a 2.2 percent annual increase.

Table 4. Multifamily Rent Per Unit, 2010-2024

Rental Rate	2010	2015	2020	2024	2010-2020			2020-2024			2010-2024		
					Total	Ann. #	Ann. %	Total	Ann. #	Ann. %	Total	Ann. #	Ann. %
Cheyenne	\$956	\$1,048	\$1,175	\$1,300	\$219	\$22	2.1%	\$125	\$31	2.6%	\$344	\$25	2.2%

Source: CoStar; Economic & Planning Systems

Rental rates per square foot are estimated at \$1.44 in Cheyenne as shown in **Table 5**. Recently constructed market rate developments, detailed above in **Table 3**, had an average rental rate of \$1.62 per square foot.

Table 5. Multifamily Rent Per Square Foot, 2010-2024

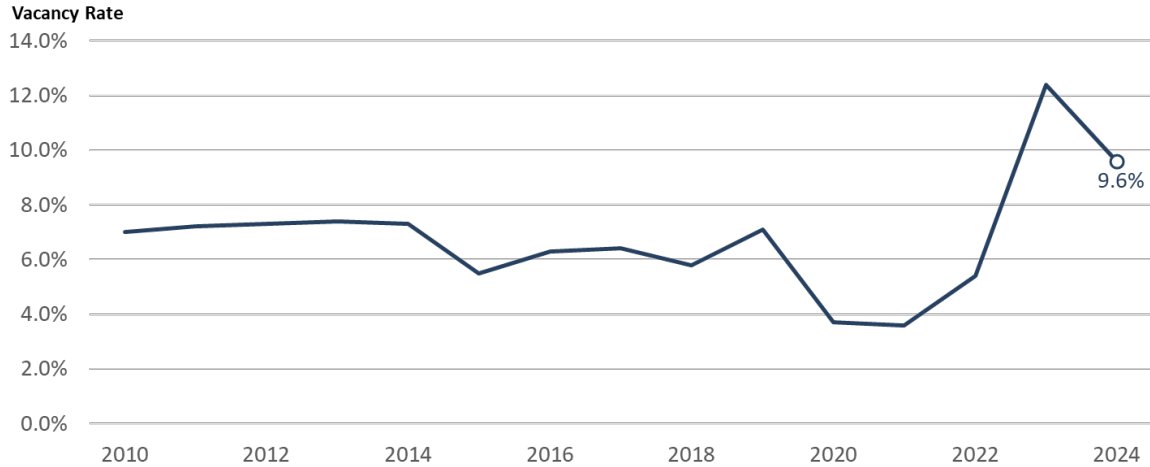
Rental Rate	2010	2015	2020	2024	2010-2020			2020-2024			2010-2024		
					Total	Ann. #	Ann. %	Total	Ann. #	Ann. %	Total	Ann. #	Ann. %
Cheyenne	\$1.05	\$1.16	\$1.30	\$1.44	\$0.25	\$0.03	2.2%	\$0.14	\$0.04	2.6%	\$0.39	\$0.03	2.3%

Source: CoStar; Economic & Planning Systems

Vacancy Rates

Vacancy rates have increased significantly in Cheyenne since a decline in 2020. Vacancy rates dropped from 7.1 percent in 2019 to 3.7 percent in 2020, then increased to 9.6 percent in 2024, as shown in **Figure 3**.

Figure 3. Multifamily Vacancy Rate, 2010-2024



Inventory

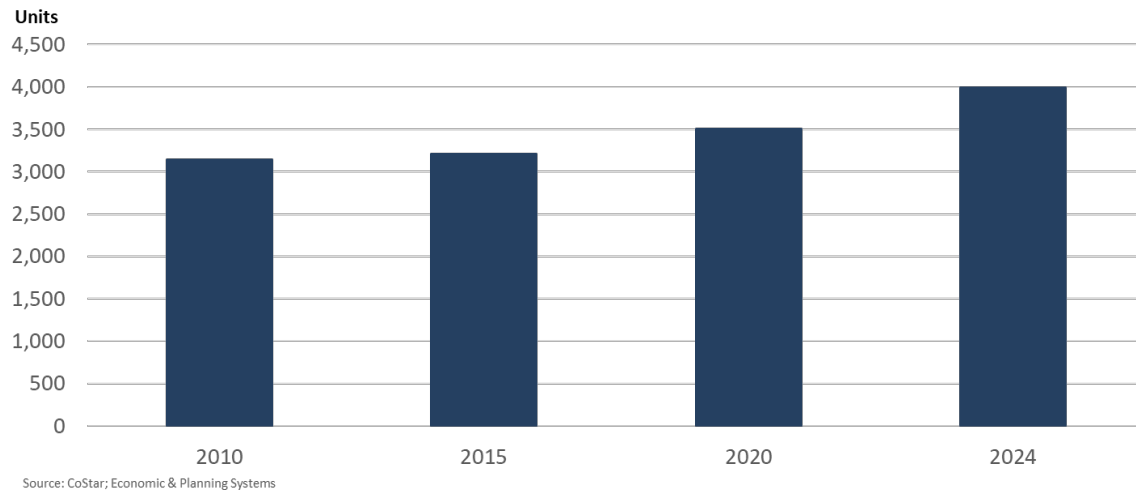
The City of Cheyenne added a total of 847 units from 2010 to 2024, or 61 units annually. Growth has accelerated since 2020, as shown in **Table 6**. There were 483 units added since 2020, for an average of 121 units per year, compared to 36 units per year from 2010 to 2020, as shown below. The units added since 2020 are in larger developments with an average size of 120 units, compared to an average development size of 57 units between 2010-2020.

Table 6. Multifamily Inventory, 2010-2024

Inventory (units)	2010	2015	2020	2024	2010-2020			2020-2024			2010-2024		
					Total	Ann. #	Ann. %	Total	Ann. #	Ann. %	Total	Ann. #	Ann. %
Cheyenne	3,147	3,208	3,511	3,994	364	36	1.1%	483	121	3.3%	847	61	1.7%

Source: CoStar; Economic & Planning Systems

Figure 4. Multifamily Inventory, 2010-2024



Development and Construction Values

This section provides a summary of each project's estimated development and construction costs and operating costs and revenues. Project revenues include the proposed rental and lease rates for residential and commercial project components and estimated escalation rates.

Development Costs

Both the Jolly Rodgers and Black Tooth projects present development and construction budgets that generally align with industry standards for multifamily developments, as described in more detail below and detailed in **Table 7** and **Table 8**. The hard costs for Jolly Rodgers, estimated at \$159 per gross square foot and \$187 per rentable square foot, and for Black Tooth at \$181 per gross square foot and \$213 per rentable square foot, are within the typical range seen in the market, though Black Tooth's figures are slightly above average, reflecting its smaller scale and potentially higher-quality finishes. Soft costs for both projects, making up 24-25 percent of total costs, are also consistent with industry norms, which often see soft costs ranging from 20-30 percent of total project budgets. Overall, while the costs are competitive, they suggest a level of investment that is in line with, or slightly above, standard expectations for similar developments.

Jolly Rodgers

The development and construction budget totals \$40.7 million as shown in **Table 7** and summarized below.

- **Land** – The 521,413 square foot site area has an estimated land acquisition value of \$1.9 million.
- **Hard Costs** – Hard costs are estimated at \$159 per gross square foot and \$187 per rentable square foot. These construction costs account for roughly 70 percent of total costs.
- **Soft Costs** – The total soft costs are estimated at \$10.3 million and equate to 25 percent of the total project costs.

Table 7. Jolly Rodgers Project Cost Estimate

Description	Total	Cost per GSF	Cost per RSF	% of Total
Land Costs	\$1,900,000	\$10.58	\$12.44	4.7%
Land Cost/Acquisition	\$1,900,000	\$10.58	\$12.44	4.7%
Hard Costs	\$28,523,368	\$158.78	\$186.81	70.1%
Vertical Construction Cost	\$28,523,368	\$158.78	\$186.81	70.1%
Soft Costs	\$10,252,048	\$57.07	\$67.14	25.2%
Soft Costs	\$6,564,048	\$36.54	\$42.99	16.1%
Financing Fees and Taxes	\$3,688,000	\$20.53	\$24.15	9.1%
Total Costs	\$40,675,416	\$226.43	\$266.39	100.0%

Source: Developer Financial Documents; Economic & Planning Systems

Black Tooth

The development and construction budget totals \$24.0 million as shown in **Table 8** and summarized below.

- **Land** – The 13,939 square foot site has an estimated land acquisition value of \$1.7 million.
- **Hard Costs** – Hard costs are estimated at \$181 per gross square foot and \$213 per rentable square foot. These construction costs account for roughly 69 percent of total costs.
- **Soft Costs** – The total soft costs are estimated at \$5.8 million and equate to 24 percent of the total project costs.

Table 8. Black Tooth Project Cost Estimate

Description	Total	Cost per GSF	Cost per RSF	% of Total
Land Costs	\$1,700,000	\$18.62	\$21.91	7.1%
Land Cost/Acquisition	\$1,700,000	\$18.62	\$21.91	7.1%
Hard Costs	\$16,532,560	\$181.08	\$213.03	68.8%
Vertical Construction Cost	\$16,532,560	\$181.08	\$213.03	68.8%
Soft Costs	\$5,795,055	\$63.47	\$74.67	24.1%
Soft Costs	\$3,615,805	\$39.60	\$46.59	15.0%
Financing Fees and Taxes	\$2,179,250	\$23.87	\$28.08	9.1%
Total Costs	\$24,027,615	\$263.17	\$309.61	100.0%

Source: Developer Financial Documents; Economic & Planning Systems

Project Revenues

The proposed rental rates and financial projections for both the Jolly Rodgers and Black Tooth projects are described in more detail below and detailed in **Table 9** and **Table 10**. The revenue projections are generally consistent with industry standards for similar projects. The Jolly Rodgers development anticipates rental rates ranging from \$1.75 to \$2.33 per square foot, with an average of \$1.99 per square foot. These rates are competitive within the market, aligning with typical expectations for new multifamily developments in comparable areas. Black Tooth's projected rental rates, contributing to a total potential gross income (PGI) of \$2.4 million, also reflect market norms. Operating expenses for both projects, accounting for 27 to 27.8 percent of gross income, are in line with industry benchmarks, indicating efficient management practices. The projected net operating income (NOI) for Jolly Rodgers at \$2.8 million and for Black Tooth at \$1.6 million, further supports the notion that these developments are well-positioned within the market, offering returns that meet or slightly exceed industry standards.

Jolly Rodgers

Jolly Rodgers proposed rental rates are expected to range from \$1.75 to \$2.33 per square foot, with an overall average of \$1.99 per square foot, as detailed in **Table 9**. At full stabilization, these rates are projected to generate approximately \$3.6 million annually from the apartment units. Additionally, the project is expected to produce \$374,000 annually from ancillary income sources such as storage space, parking garage fees, and other revenues. The total potential gross income (PGI) for the project is projected at \$4.0 million, with the effective gross income (EGI) estimated at \$3.8 million.

Operating expenses, which include costs for taxes, insurance, management, common area expenses, and maintenance, are projected at \$1.1 million annually. This figure represents 28 percent of the gross income, aligning with industry standards for multifamily developments. The net operating income (NOI), calculated as the annual gross revenues minus operating expenses, is estimated at \$2.8 million per year.

Table 9. Jolly Rodgers Net Operating Income (NOI)

Description	Rent PSF/Unit	Total	% of Total
Revenue			% of PGI
Rental Income	\$1.99 PSF	\$3,637,155	90.7%
Studio	\$2.29 PSF	\$598,752	14.9%
1 Bedroom	\$2.33 PSF	\$1,172,398	29.2%
2 Bedroom	\$1.75 PSF	\$1,866,005	46.5%
Other Income		\$373,751	9.3%
Storage	\$25.00 per unit	\$24,000	0.6%
Garage	\$125 per unit	\$225,000	5.6%
Other Income	\$124,751 total	\$124,751	3.1%
Potential Gross Income (PGI)		\$4,010,906	100.0%
Less: Vacancy (5.0% per year)		-\$200,545	-5.0%
Effective Gross Income		\$3,810,361	95.0%
Expenditures			% of EGI
Operating Expenses		-\$1,049,737	27.5%
Total Operating Expenses		-\$1,049,737	27.5%
Net Operating Income		\$2,760,624	72.5%

Source: Developer Financial Documents; Economic & Planning Systems

Black Tooth

The Black Tooth development proposed rental rates are estimated to generate a total PGI of approximately \$2.4 million, as shown in **Table 10**. After accounting for vacancy and collection losses, the EGI is projected at \$2.3 million, representing 95 percent of the PGI. Operating expenses, including costs for taxes, insurance, management, and maintenance, are estimated at \$626,281 per year, which is 28 percent of the EGI. This aligns with industry benchmarks for similar developments. The NOI for the Black Tooth development is projected to be approximately \$1.6 million annually, equating to 72.2 percent of the EGI.

Table 10. Black Tooth Net Operating Income (NOI)

Description	Rent PSF/Unit	Total	% of Total
Revenue			% of PGI
Rental Income	\$2.26 PSF	\$2,107,798	88.9%
Studio	\$2.41 PSF	\$254,100	10.7%
1 Bedroom	\$2.67 PSF	\$736,499	31.1%
2 Bedroom	\$2.03 PSF	\$1,117,198	47.1%
Other Income		\$261,979	11.1%
Storage	\$25.00 per unit	\$12,000	0.5%
Garage	\$150 per unit	\$185,400	7.8%
Other Income	\$64,579 total	\$64,579	2.7%
Potential Gross Income (PGI)		\$2,369,777	100.0%
Less: Vacancy (5.0% per year)		-\$118,489	-5.0%
Effective Gross Income		\$2,251,288	95.0%
Expenditures			% of EGI
Operating Expenses		-\$626,281	27.8%
Total Operating Expenses		-\$626,281	27.8%
Net Operating Income		\$1,625,007	72.2%

Source: Developer Financial Documents; Economic & Planning Systems

Financial Analysis

This section summarizes EPS' analysis of need for the proposed economic incentives requested from the City. The review is based on a "but for" financial analysis of the Developer's proposed financing plan to determine 1) "but for" the public investment the project would be financially infeasible and 2) with public investment the project is feasible with a reasonable rate of return given current financial conditions and the associated developer risk.

The Developer provided EPS with requested financial information on the project including its 10-year cash flow pro forma. EPS constructed its own financial model to evaluate the project's leveraged cash flows against acceptable measures of return for public investment in real estate projects. EPS also evaluated the Developer's unleveraged cash flows but determined the leveraged analysis was a more appropriate measure of return.

Proposed Financing Sources

Each project is anticipated to be financed with roughly 75 percent debt and 25 percent equity, as shown in **Table 11**. Details on debt financing for each project is described in more detail below.

- **Jolly Rodgers** is financed with a construction loan at an interest rate of 7.5 percent. This higher rate reflects the typical risks associated with the construction phase. The project will transition to a permanent loan with a more favorable interest rate of 6.5 percent upon completion, which is aligned with industry standards for long-term financing.
- **Black Tooth** is similarly structured but benefits from a slightly higher construction loan interest rate of 7.75 percent. Like Jolly Rodgers, the Black Tooth project will convert to a permanent loan at a 6.5 percent interest rate after the construction period, ensuring consistency in long-term debt servicing across both projects.

Table 11. Preliminary Financing Sources

Description	Jolly Rodgers		Black Tooth	
	Total	% Total	Total	% Total
Sources of Funds				
Debt	\$30,537,508	75.0%	\$17,965,658	75.0%
Equity	\$10,179,169	25.0%	\$5,988,553	25.0%
Total	\$40,716,677	100.0%	\$23,954,211	100.0%

Source: Developer; Economic & Planning Systems

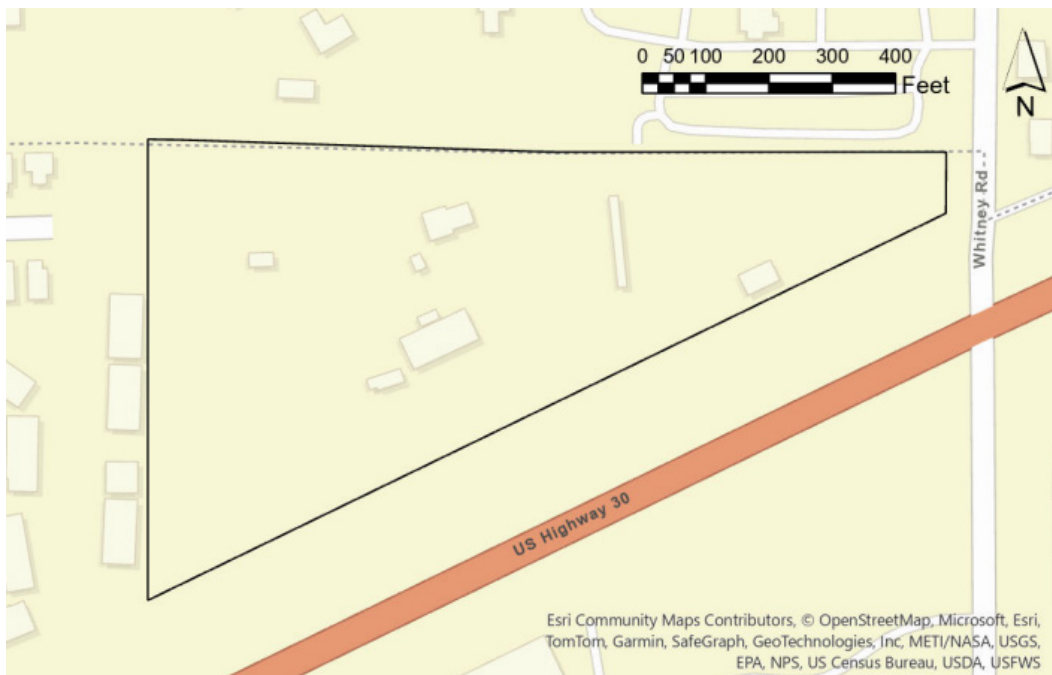
TIF Projections

In June 2021, the City Council enacted an ordinance establishing the Urban Renewal Authority (URA) and passed a resolution identifying blighted areas within the community. The URA, consisting of a five-member board with expertise in community planning, urban renewal, and business management, is tasked with reviewing Urban Renewal Plans and Projects for designated areas. The board also provides recommendations on the use of Tax Increment Financing (TIF) to support these initiatives.

Jolly Rodgers

The Jolly Rodgers project is situated within the Jolly Rodgers Urban Renewal Plan Area, which covers the entirety of Lot 1, Block 1 of the Jolly Rogers Subdivision, as shown below in **Figure 5**.

Figure 5. Jolly Rodgers Urban Renewal Plan Area



Source: City of Cheyenne

The base year for the plan area is 2024, and the URA has the authority to collect TIF through 2049 (year 25). The current (base) valuation of the property is equal to \$917,796, and the assessed value is \$87,191, as shown below in **Table 12**.

Table 12. Jolly Rodgers Base Valuation

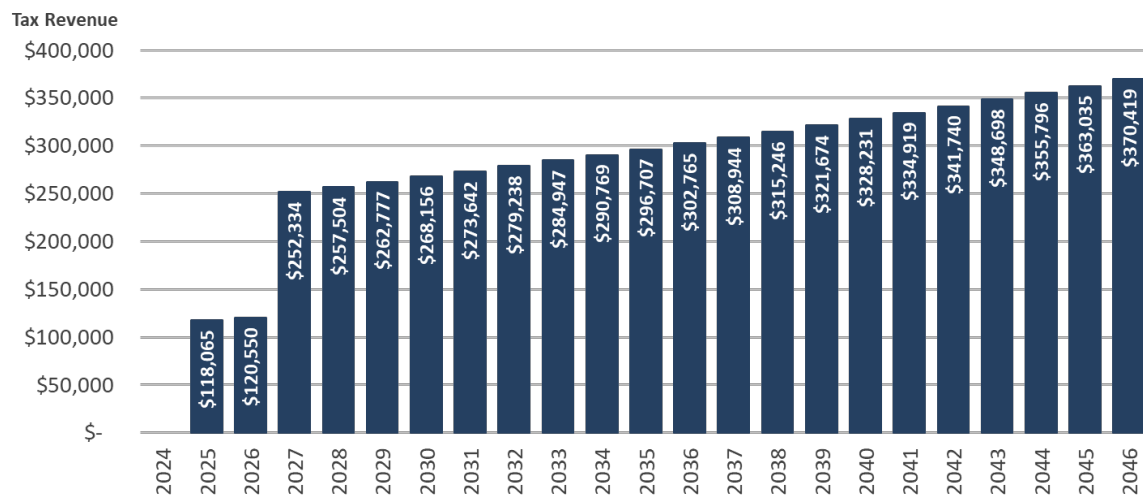
Description	Land	Building	Total
Actual Value			
6102 US Highway 30	<u>\$283,268</u>	<u>\$634,528</u>	<u>\$917,796</u>
Subtotal	\$283,268	\$634,528	\$917,796
Assessment Rate	9.50%	9.50%	
Assessed Value			
6102 US Highway 30	<u>\$26,910</u>	<u>\$60,280</u>	<u>\$87,191</u>
Subtotal	\$26,910	\$60,280	\$87,191

Source: Laramie County Assessor; Economic & Planning Systems

The difference between the base valuation of the property and the future value of the property represents the tax increment. The future value of the property was estimated using a factor of \$242 per square foot, which is equal to the project's total construction costs less financing fees.

TIF generation begins in 2024 and is distributed on a one-year lag, ranging from \$118,065 in 2025 to \$370,419 in 2049, totaling \$7.6 million, as shown in **Figure 6**.

Figure 6. Jolly Rodgers Annual TIF Revenues



Source: Economic & Planning Systems

Black Tooth

The Black Tooth project is situated within the West Downtown Urban Renewal Plan Area, which is bound by Bent Avenue to the west, Pioneer Avenue to the east, W. 19th Street to the north from Bent Avenue to O'Neil Avenue, W. 18th Street to the north between O'Neil Avenue and Thomes Avenue, W. 17th Street to the north between Thomes Avenue and Pioneer Avenue, as shown below.

Figure 7. West Downtown Urban Renewal Plan Area



Source: City of Cheyenne

The base year for the plan area is 2024, and the URA has the authority to collect TIF through 2049 (year 25). The current (base) valuation of the property is equal to \$95,968, and the assessed value is \$9,117, as shown below in **Table 13**.

Table 13. Black Tooth Base Valuation

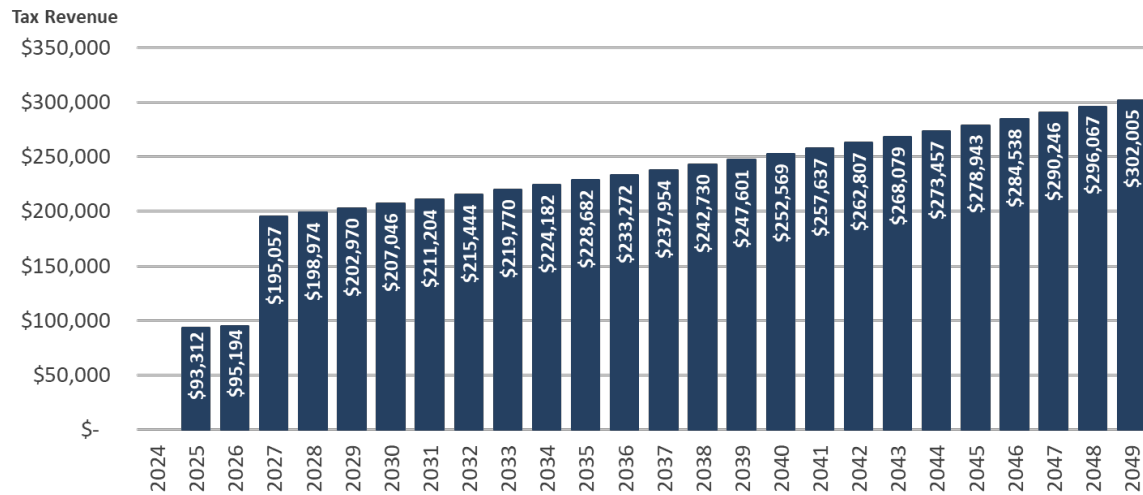
Description	Land	Building	Total
Actual Value			
611 W 19th St	<u>\$95,968</u>	<u>\$0</u>	<u>\$95,968</u>
Subtotal	\$95,968	\$0	\$95,968
Assessment Rate	9.50%	9.50%	
Assessed Value			
611 W 19th St	<u>\$9,117</u>	<u>\$0</u>	<u>\$9,117</u>
Subtotal	\$9,117	\$0	\$9,117

Source: Laramie County Assessor; Economic & Planning Systems

The future value of the property was estimated using a factor of \$282 per square foot, which is equal to the project's total construction costs less financing fees.

TIF generation begins in 2024 and is distributed on a one-year lag, ranging from \$93,312 in 2025 to \$302,005 in 2049, totaling \$5.8 million, as shown in **Figure 8**.

Figure 8. Black Tooth Annual TIF Revenues



Source: Economic & Planning Systems

Leveraged Return Metrics

EPS conducted an analysis of the leveraged returns for the project to assess the impact of the loan terms on its financial performance. Leveraged analysis examines a project's financial outcomes after the Developer has fulfilled all financial obligations, including debt service. The key assumptions used in this analysis are outlined below:

- **Escalation Rate:** Both revenues and expenditures are projected to grow at an annual rate of 2.0 percent.
- **Capitalization Rate (Cap Rate):** The terminal cap rate, or the rate applied upon the sale of the property, is estimated at 6.25 percent for each project.
- **Disposition Year:** It is assumed that each project will be sold in year 10. While the Developer may opt to hold the property for a longer period, using a 10-year disposition horizon provides a standard framework for evaluating the project's financial performance.
- **Hurdle Rate:** The hurdle rate for the leveraged discounted cash flow (DCF) model represents the required return on equity. For this project, the target return on equity is set at 17.5 percent.

Jolly Rodgers

Without public investment, the project is estimated to generate an NPV of a negative \$1.9 million, equating to an IRR of 14.59 percent, as shown in **Table 14**. With public investment, the project is anticipated to generate an NPV of negative \$584,855 and an IRR of 16.65 percent, as shown in **Table 15**. The levered return metrics indicate the project would not be financially feasible without public investment, as the IRR fails to reach the hurdle rate. The IRR with public investment is still slightly below the desired hurdle rate, but may still be sufficient for the Developer to move forward with the project. In any case, the but for analysis confirms that the requested TIF investment does not result in an unreasonable rate of return for the project.

Table 14. Jolly Rodgers Baseline Project Cash Flows

Description	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
Cash Flows after Debt Service											
Net Operating Income	\$0	\$0	\$994,327	\$2,929,596	\$2,988,188	\$3,047,952	\$3,108,911	\$3,171,089	\$3,234,511	\$3,299,201	\$3,365,185
Debt Service Payments	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>
Cash Flows after Debt Service	\$0	\$0	\$994,327	\$613,382	\$671,974	\$731,738	\$792,697	\$854,875	\$918,297	\$982,987	\$1,048,971
Coverage Ratio	---	---	---	1.26	1.29	1.32	1.34	1.37	1.40	1.42	1.45
Net Project Cash Flows											
Cash Flow After Debt Service	\$0	\$0	\$994,327	\$613,382	\$671,974	\$731,738	\$792,697	\$854,875	\$918,297	\$982,987	\$1,048,971
Project Sale Revenue	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$53,272,221
Debt Repayment	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	-\$27,073,540
Equity Contribution	-\$10,179,169	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Project Cash Flows	-\$10,179,169	\$0	\$994,327	\$613,382	\$671,974	\$731,738	\$792,697	\$854,875	\$918,297	\$982,987	\$27,247,652
NPV w/o Subsidy	-\$1,909,052	17.50% discount rate									
Internal Rate of Return	14.59%										

Table 15. Jolly Rodgers Cash Flows with Public Investment

Description	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
Cash Flows after Debt Service											
Net Operating Income	\$0	\$0	\$994,327	\$2,929,596	\$2,988,188	\$3,047,952	\$3,108,911	\$3,171,089	\$3,234,511	\$3,299,201	\$3,365,185
Debt Service Payments	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>	<u>-\$2,316,214</u>
Cash Flows after Debt Service	\$0	\$0	\$994,327	\$613,382	\$671,974	\$731,738	\$792,697	\$854,875	\$918,297	\$982,987	\$1,048,971
Coverage Ratio	---	---	---	1.26	1.29	1.32	1.34	1.37	1.40	1.42	1.45
Net Project Cash Flows											
Cash Flow After Debt Service	\$0	\$0	\$994,327	\$613,382	\$671,974	\$731,738	\$792,697	\$854,875	\$918,297	\$982,987	\$1,048,971
Project Sale Revenue	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$53,272,221
Debt Repayment	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	-\$27,073,540
Equity Contribution	-\$10,179,169	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
PV of TIF Revenues	\$1,324,197	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Project Cash Flows	-\$8,854,972	\$0	\$994,327	\$613,382	\$671,974	\$731,738	\$792,697	\$854,875	\$918,297	\$982,987	\$27,247,652
NPV w/ Subsidy	-\$584,855	17.50% discount rate									
Internal Rate of Return	16.65%										

Black Tooth

Without public investment, the project is estimated to generate an NPV of a negative \$1.1 million, equating to an IRR of 14.61 percent, as shown in **Table 16**. With public investment, the project is anticipated to generate an NPV of negative \$94,425 and an IRR of 17.27 percent, as shown in **Table 17**. Similar to the Jolly Rodgers project, the levered return metrics indicate the project would not be financially feasible without the public investment. The IRR with public investment is still slightly below the desired hurdle rate, but may still be sufficient for the Developer to move forward with the project. In any case, the but for analysis confirms that the requested TIF investment does not result in an unreasonable rate of return for the project.

Table 16. Black Tooth Baseline Project Cash Flows

Description	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
Cash Flows after Debt Service											
Net Operating Income	\$0	\$0	\$581,175	\$1,724,470	\$1,758,960	\$1,794,139	\$1,830,022	\$1,866,622	\$1,903,955	\$1,942,034	\$1,980,874
Debt Service Payments	\$0	\$0	\$0	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>
Cash Flows after Debt Service	\$0	\$0	\$581,175	\$361,808	\$396,298	\$431,477	\$467,360	\$503,960	\$541,293	\$579,372	\$618,212
Coverage Ratio	---	---	---	1.27	1.29	1.32	1.34	1.37	1.40	1.43	1.45
Net Project Cash Flows											
Cash Flow After Debt Service	\$0	\$0	\$581,175	\$361,808	\$396,298	\$431,477	\$467,360	\$503,960	\$541,293	\$579,372	\$618,212
Project Sale Revenue	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$31,358,035
Debt Repayment	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	-\$15,927,755
Equity Contribution	-\$5,988,553	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Project Cash Flows	-\$5,988,553	\$0	\$581,175	\$361,808	\$396,298	\$431,477	\$467,360	\$503,960	\$541,293	\$579,372	\$16,048,492
NPV w/o Subsidy	-\$1,119,447	17.50% discount rate									
Internal Rate of Return	14.61%										

Source: Developer; Economic & Planning Systems

Table 17. Black Tooth Cash Flows with Public Investment

Description	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
Cash Flows after Debt Service											
Net Operating Income	\$0	\$0	\$581,175	\$1,724,470	\$1,758,960	\$1,794,139	\$1,830,022	\$1,866,622	\$1,903,955	\$1,942,034	\$1,980,874
Debt Service Payments	\$0	\$0	\$0	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>	<u>-\$1,362,662</u>
Cash Flows after Debt Service	\$0	\$0	\$581,175	\$361,808	\$396,298	\$431,477	\$467,360	\$503,960	\$541,293	\$579,372	\$618,212
Coverage Ratio	---	---	---	1.27	1.29	1.32	1.34	1.37	1.40	1.43	1.45
Net Project Cash Flows											
Cash Flow After Debt Service	\$0	\$0	\$581,175	\$361,808	\$396,298	\$431,477	\$467,360	\$503,960	\$541,293	\$579,372	\$618,212
Project Sale Revenue	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$31,358,035
Debt Repayment	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	-\$15,927,755
Equity Contribution	-\$5,988,553	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
PV of TIF Revenues	\$1,025,022	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Project Cash Flows	-\$4,963,531	\$0	\$581,175	\$361,808	\$396,298	\$431,477	\$467,360	\$503,960	\$541,293	\$579,372	\$16,048,492
NPV w/ Subsidy	-\$94,425	17.50% discount rate									
Internal Rate of Return	17.27%										

Source: Developer; Economic & Planning Systems

Conclusions

The above analysis indicates that the project does not meet the standard for a reasonable rate of developer return by a third-party development entity, even with the negotiated TIF reimbursement. The Developer's request for TIF reimbursement is justified, as both projects are below the identified target hurdle rate and would not result in an unreasonable return on its investment.



A COMMUNITY OF CHOICE

Planning and Development Department

2101 O'Neil Avenue, Suite 202, Cheyenne WY 82001

(Phone) 307-637-6282 (Fax) 307-637-6366

URBAN RENEWAL AUTHORITY BOARD

JULY 3, 2024

STAFF REPORT

REQUEST:	Consideration of a Tax Increment Financing (TIF) application for a portion of Lot 1, Block 1, Jolly Rogers Subdivision
PURPOSE:	To build a multi-story, 194-unit apartment complex on the subject property
LOCATION:	Northwest of U.S. 30 and Whitney Road
APPLICANT:	Jack Weber (NJS Development, LLC / Stencil Development)
OWNER:	Jolly Roger, LLC
AGENT:	Mark Christensen, AVIpc
CASE NUMBER:	PLTF-24-2
PREPARED BY:	Charles W. Bloom, AICP, Planning and Development Director

DETAILS OF PROPOSAL:

A Tax Increment Financing (TIF) assistance application has been submitted by AVIpc related to the new construction of a 194-unit apartment development within the Jolly Rogers Plan and Project area. The development is proposed to be constructed in two phases. TIF funding for this project will be used to aid in activities approved with the Jolly Rogers Plan and Project. The applicant has requested \$4,782,824 in TIF assistance to be collected over a 20-year period with this project.



REVIEW CRITERIA:

Section 4.7 of the Bylaws of the Urban Renewal Authority identify specific review criteria to provide guidance on whether a specific project should be awarded an increment. The applicant has provided documentation on how they believe the TIF award meets the review criteria (Attached).

Staff's analysis of the review criteria is summarized below.

- 1. The project is within an area determined to be blighted by the Governing Body. The blight determination must be detailed in a Blight Study and adopted by the Governing Body through resolution.**

Staff Response: Governing Body Resolution No. 6344 was approved on July 17, 2023, the subject property as blighted and authorizing urban renewal redevelopment activities.

The application **complies** with this review criterion.

- 2. The project is in accordance with the development policies and physical patterns identified in the Comprehensive Plan and any other official plans and policies for the specified area.**

Staff Response: This development is in conformance with the principles and future land use identified in PlanCheyenne. The property is within the Urban Service Boundary and has access to all utilities. The subject property is in an area classified as Mixed-Use Commercial Emphasis on the Future Land Use Map.

The Mixed-Use Commercial Emphasis category encompasses existing and future developments. This category includes a wide variety of land uses and activities, focused primarily on commercial activities, but also including other employment, public, and residential uses.

Primary uses within this land use category include retail, office, light industrial, and live-work designed as an "activity center." Parks, plazas and/or open space should also be part of the core of Mixed-Use Commercial areas. Apartments, townhouses, other residential uses \, places of worship, and other public or civic uses are considered appropriate secondary uses in these areas. Existing residential densities vary tremendously, but new developments are typically greater than 8 dwelling units per acre within the Central Business District.

Foundation 1 of PlanCheyenne encourages community growth. This development is in response to market demands and is within the Urban Service Boundary. In particular, this fulfills the infill and revitalization incentives action of foundation 1.

Foundation 3 of PlanCheyenne encourages supporting existing businesses and recruiting new sustainable businesses. In particular, this foundation focuses on development in east Cheyenne which is connected to various employment centers by principle and minor arterial transportation corridors.

The application **complies** with this review criterion.

3. The project has demonstrated a financial feasibility gap or may not be constructed without the tax increment financing assistance.

Staff Response: The applicant has provided construction cost estimates for eligible improvements as part of this project. This is presently under review by a third party, Economic Planning Systems, Inc. The applicant has indicated that TIF funding will be used for public improvements associated with said buildings and to relocate utility lines on the subject property. This specific review is coupled with another TIF application. The contract price for this joint review is \$26,910 and is an eligible TIF-related expense.

Typically costs associated with improvements within the adjacent right-of-way (curb, gutter, sidewalk, ADA ramp installation, ADA ramp access, landscaping within and adjacent to the right-of-way) are included in TIF awards as well as soft costs related to financing, the third-party review, and legal fees are also included in the TIF award.

This process is still under review. At this time, this review criterion is **not met**. Staff recommends conditioning the approval to require the applicant to come back to the Board to prove that an acceptable financial gap exists, clarify proposed costs that will be eligible for TIF, and to clarify their proposed return on investment.

4. The project development team has demonstrated experience in completing projects of similar complexity to the proposed project.

Staff Response: The developer has an extensive track record of creating similar projects. The developer has also indicated that they have completed TIF projects in South Dakota and Minnesota, and that this is their first TIF project in Wyoming.

The application **generally complies** with this review criterion.

5. The project development team has demonstrated the financial capability of completing the proposed project with the tax increment financing assistance.

Staff Response: The developer has not identified a financial partner to finance this project; however, based on past performance, staff does not anticipate any concerns in this area.

The application **complies** with this review criterion.

6. The project responds to existing or future market conditions or fulfills a significant need in the community.

Staff Response: Housing units of all types are in high demand in the City. The lack of housing has led to increased property values and rental prices which makes housing less attainable for many residents. The addition of more housing options in the community will provide opportunities for existing and future residents.

The application **complies** with this review criterion.

7. The project will result in increased job creation, tax generation, and development in the immediate vicinity of which it is proposed.

Staff Response: Construction of residential units in this area should have a positive effect on nearby properties. It is reasonable to assume that nearby businesses will likely see additional economic benefits and this redevelopment will be seen as a catalyst for additional development in the area. Construction activities on site will create temporary construction jobs.

The project will significantly increase the value of this property. Upon expiration of the TIF, the area will see an estimated property tax revenue of at least \$250,000 annually which will be distributed to tax agencies.

The application **complies** with this review criterion.

8. Any other criteria deemed appropriate by the Urban Renewal Authority

Staff Response: The Jolly Rogers Plan and Project was approved by the Governing Body (Resolution No. 6413) on June 24, 2024, and runs through tax year 2048.

The Plan and Project authorizes the following urban renewal activities:

- To the maximum extent possible under Wyoming law and the Wyoming Constitution, aid in site
- acquisition costs.
- Relocate utilities as necessary, specifically the water and sewer lines on the southern property line.
- Improve stormwater facilities on the site.
- Remediate any environmental contamination.
- Improve any streets and curb, gutter, and sidewalks.
- To the maximum extent possible under Wyoming law and the Wyoming Constitution, facilitate economic development and site beautification.

The application **complies** with this review criterion.

ADDITIONAL ANALYSIS:

The proposed use is within a Community Business (CB) zone district. Independent multifamily developments are subject to conditional discretionary review by the Board of Adjustment. A conditional use allowing this 194-unit multifamily development was approved by the Board of Adjustment at their April 18, 2024, meeting. This approval is valid for a period of two years after approval.

The applicant has asked staff to bring forward this TIF application to allow the Urban Renewal Authority (URA) Board to make a preliminary determination as to whether or not this specific application will be approved. As noted in the section above, staff believes the application meets six of the seven review criteria (all but criterion three). In the event the URA Board does not find that the application meets the criteria for approval, they would have the ability to halt Economic Planning Systems, Inc., review of their project. The review is anticipated to be complete in approximately 30 days and that specific criterion would be reviewed by the URA Board at a subsequent meeting.

CONCLUSION:

Staff has reviewed the proposal and determined that the project does meet the review criteria of the Urban Renewal Authority as conditioned.

STAFF RECOMMENDATION:

Staff recommends **approval** of the Tax Increment Financing application in the amount of up to \$2,579,590 in TIF assistance to be collected over a 20-year period with this project subject to the following condition:

1. Prior to forwarding a Development Agreement to the Governing Body, the applicant shall come back to the Board to prove that an acceptable financial gap exists, clarify proposed costs that will be eligible for TIF, and to clarify their proposed return on investment.
-

ATTACHMENTS:

1. TIF assistance application
2. Conceptual plan (based on a plan for Gillette, WY)
3. Applicant follow-up narrative
4. Applicant provided project financial information

PLTF-24-2

Tax Increment Financing
Status: Active
Submitted On: 6/3/2024

Primary Location

6102 US HWY 30
Cheyenne, WY 82001

Owner

JOLLY ROGER LLC
1200 N MAIN BOX 160 MERIDIAN,
ID 83680

Applicant

 AVI PC
 307-637-6017
 avi@avipc.com
 1103 Old Town Lane #101
Cheyenne, WY 82009

Application Specific Questions

Name of Urban Renewal District

—

Written Request*

We are Requesting a total of \$4,782,824 for the construction of a 2 phase 194 unit project at 6102 US Highway 30.

Project Type*

Total Project Cost*

Multi-Family Development

32000000

Total TIF Funding Requested*

4782824

List Improvements to be Completed with TIF Funding* 

TIF funding for this project will be used to aid in the demolition, environmental remediation and preparation of the project area for the construction of a 2 phase 194 unit project as well as the construction of public improvements associated with said buildings. Additonally, the increment will be used to relocate utility lines on the subject property. Specific uses of the funds will be outlined in the development agreement.

How will the use of TIF Funding aid in the Completion of your Project?*

Without TIF funding we would not be able to acquire financing for this project at this price point. TIF funding will give us the additional funding we need to get this project financed. This will allow us to move forward on our investment into the development of this area, which will improve a blighted area of the community and catalyze further development along the corridor.

Please list any additional information that will support your application*

Stencil Group has completed many successful projects in the past that have utilized TIF. Stencil Group is excited to work with the City of Cheyenne and has the necessary knowledge with tax increment financing to bring this project through to fruition. We know the City of Cheyenne has a significant need for additional multifamily units, and we are excited to be a partner in bringing them to the community.

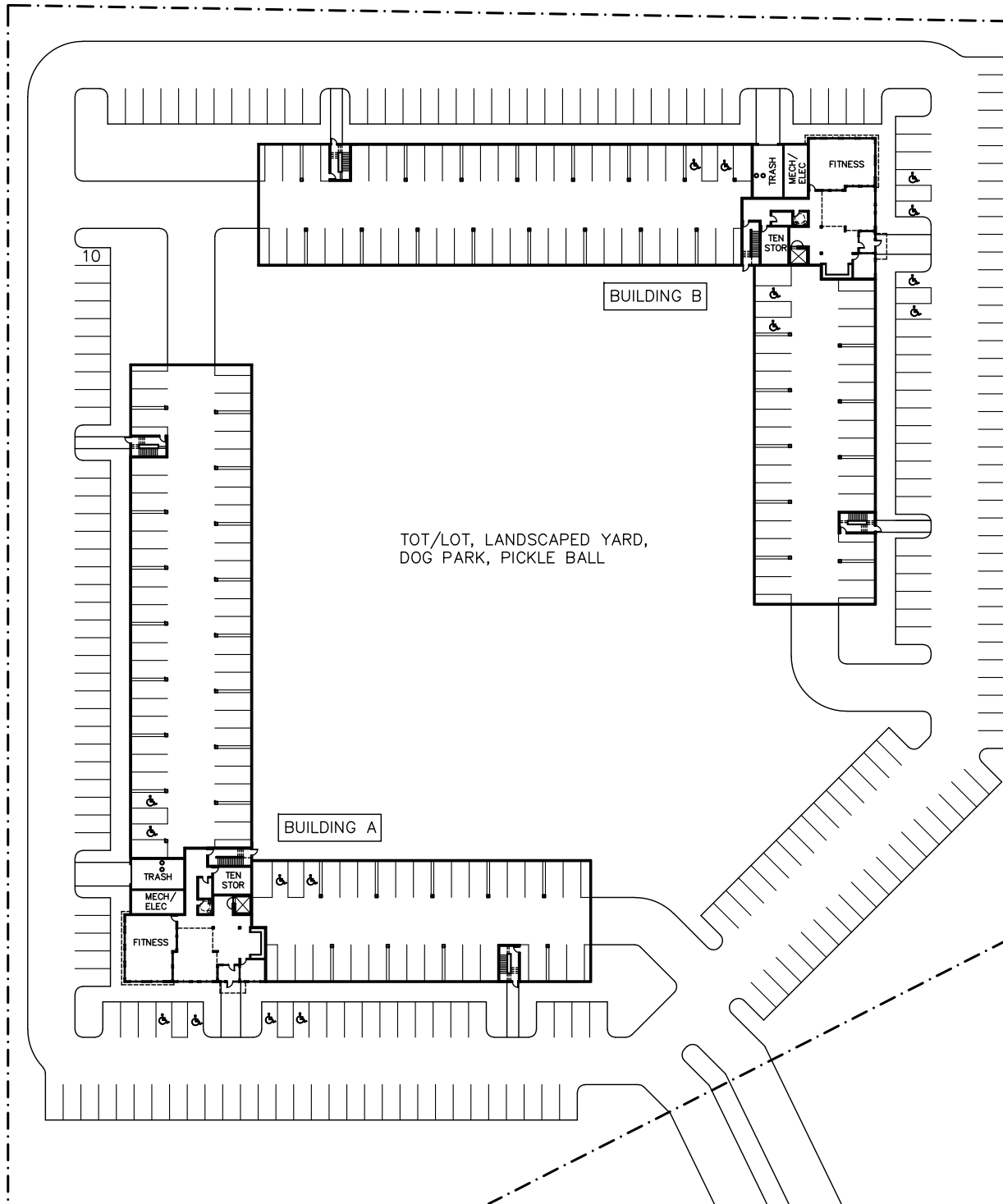
Signature/Certification

I hereby certify that I am the owner, applicant, or agent named herein and that I have familiarized myself with the rules and regulations with respect to the filing of this application and that the foregoing statements and answers contained on this application and accompanying documents are true and accurate to the best of my knowledge.

Applicant Signature*

Mark Christensen

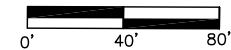
Jun 3, 2024



PROJECT DATA:

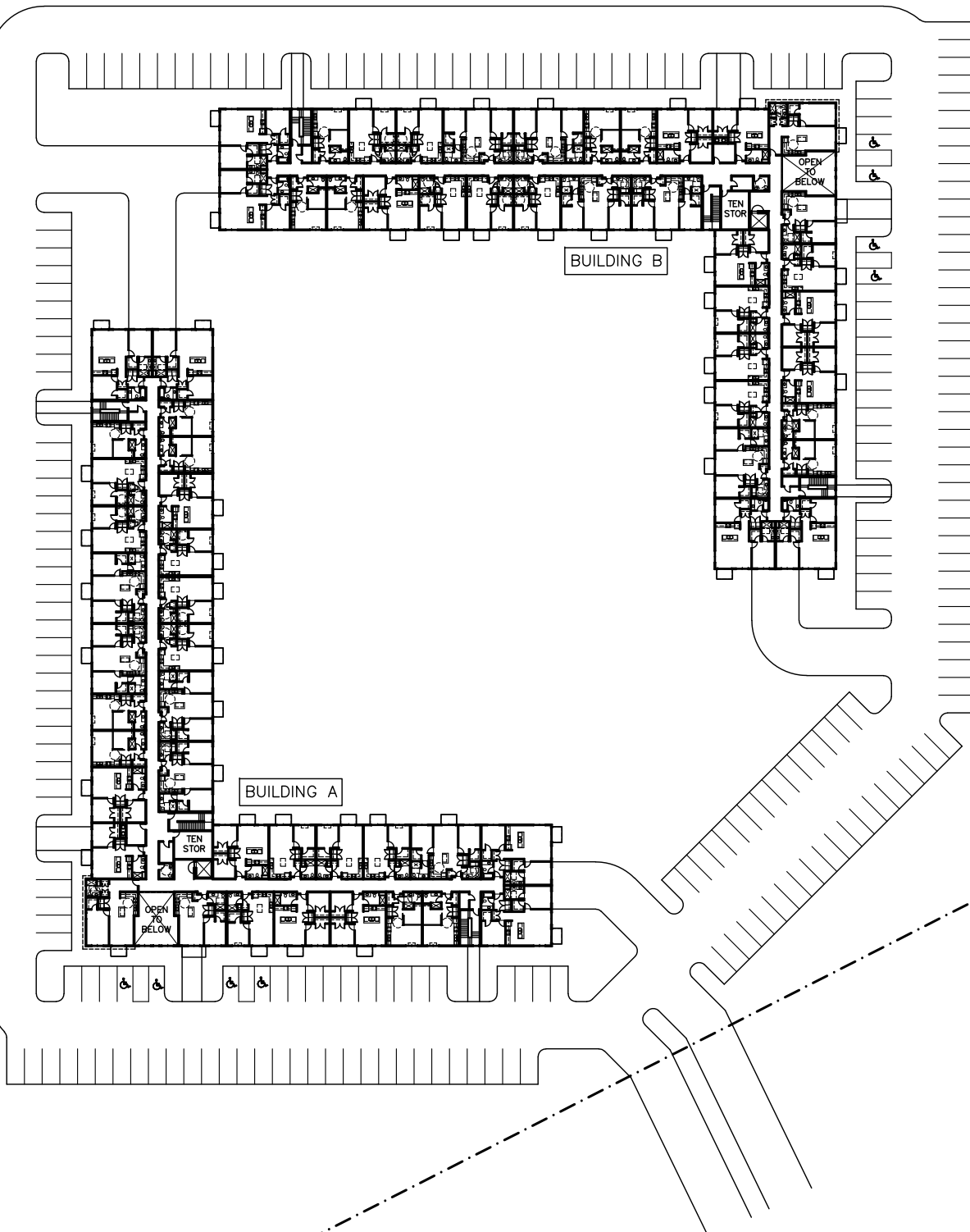
BUILDING FOOTPRINT:		30,225 sf per bldg
CLUBHOUSE FOOTPRINT:		3,956 SF
PROPOSED BUILDING HEIGHT: 4 STORIES (PER BUILDING)		(55'-0" MAX)
PROPOSED AREA: per bldg		PKNG AREA
1 FLR	4,400 SF	25,285 SF
2 FLR	29,686 SF	
3 FLR	30,225 SF	
4 FLR	29,933 SF	
TOTAL HABITABLE AREA		94,244 SF
PARKING REQUIRED: (PER BLDG)		222 STALLS
PARKING PROPOSED: (PER BLDG)		222 STALLS
UNIT DATA: (BLDG B)		QTY NSF GSF
STUDIO:		21 461 SF 501 SF
1 BEDRM:		32 656 SF 702 SF
2 BEDRM:		29 988 SF 1050 SF
2 BEDRM+1BATH:		15 743 SF 795 SF
TOTAL UNITS:		97

FIRST FLOOR PLAN

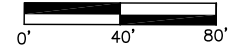


GILLETTE APARTMENTS JOLLY ROGERS SITE, GILLETTE, WYOMING

GORI & ASSOCIATES
architects
4633 1st Avenue South, Minneapolis, MN 55419
Tel: (612) 232-9539 Fax: (651) 305-6884
email: viren@gori-associates.com
www.gori-associates.com



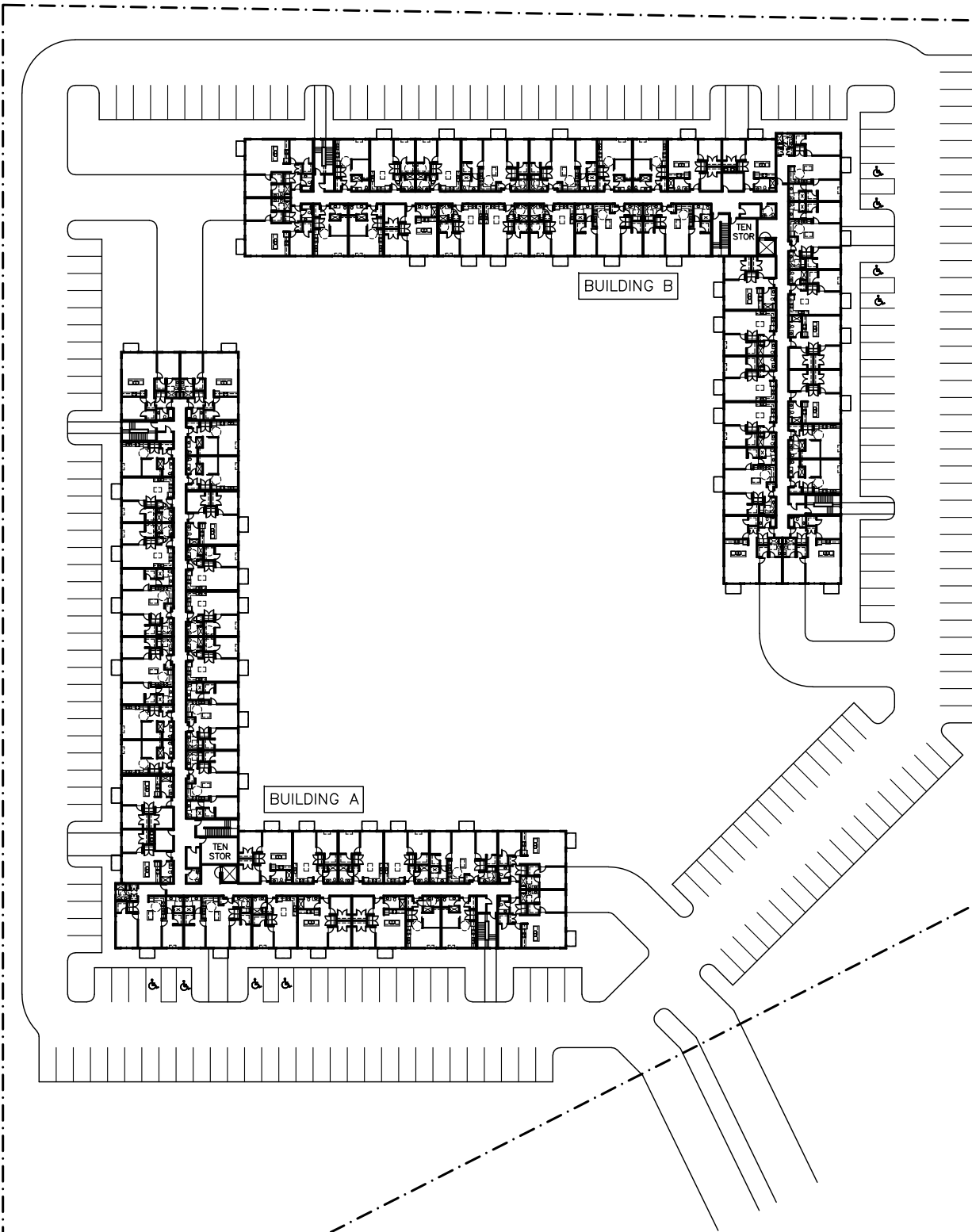
SECOND FLOOR PLAN



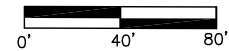
GILLETTE APARTMENTS

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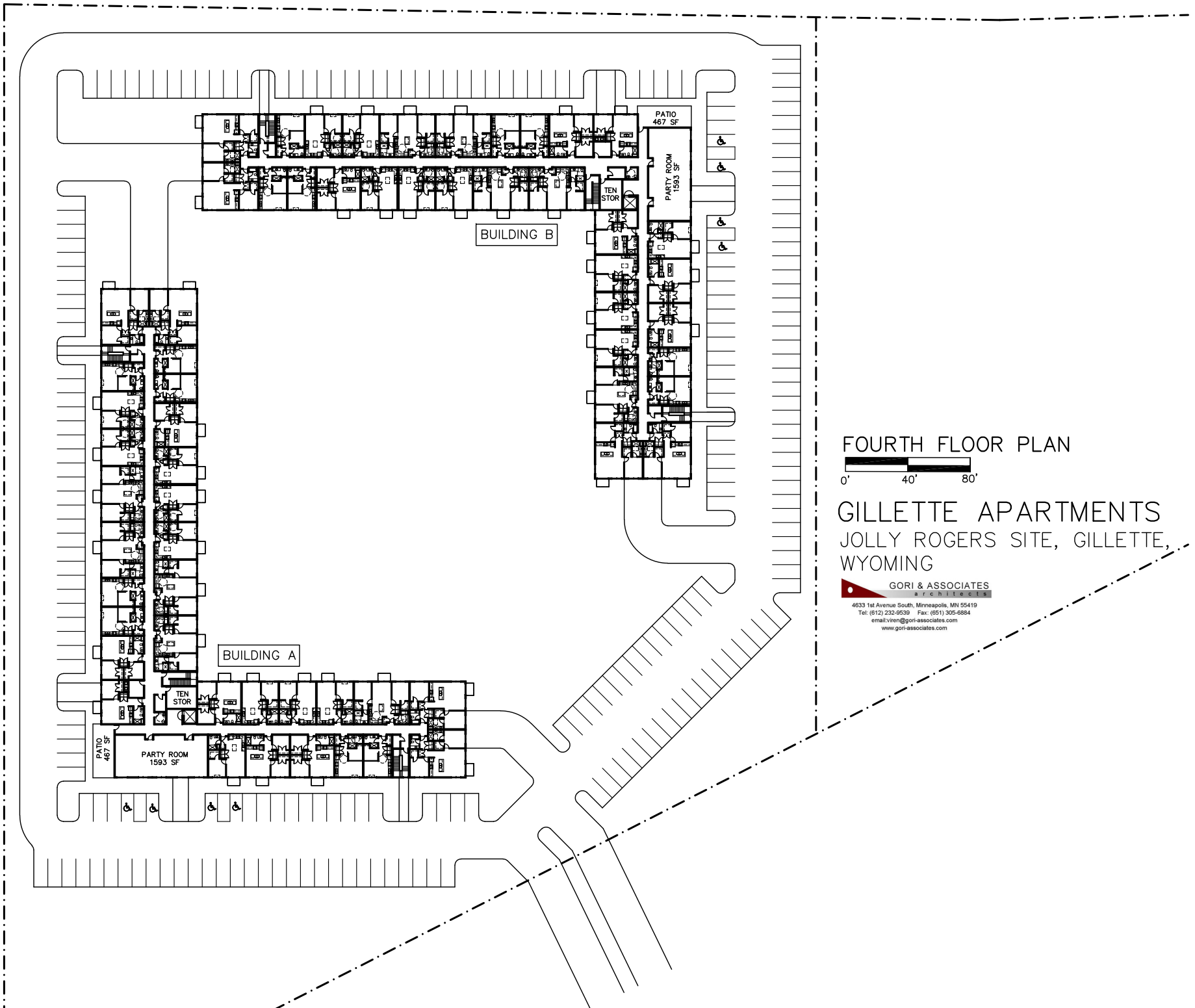


THIRD FLOOR PLAN

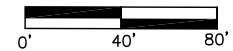


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FOURTH FLOOR PLAN



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Jolly Rogers Tax Increment Financing Narrative

City of Cheyenne
Summer 2024

Stencil Group | AVI, PC.



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Project Narrative



Stencil Group is interested in constructing a two phase 194 unit Project at 6102 US Highway 30. These buildings will contain studio, 1-bedroom and 2-bedroom units as well as a robust amenity package; including a gym area, a large, landscaped plaza, a dog park and large fully furnished community room with attached rooftop patio. This building will feature premium exterior finishes that will complement the area. The project will help to contribute to a premium aesthetic in the vicinity, visible from the current Highway 30 renovations which will add a spark to the renewal of the area. This development will also feature premium interior finishes such as modern design, stone countertops, in-unit laundry, and premium lighting that the residents of Cheyenne will be proud to call home. The project will be built with a rent target that will be affordable for the workforce of the City and provide tremendous value, allowing the people of Cheyenne to experience comfortable living with premium amenities at a reasonable price.

For a preview of what the development will look like once it is completed, please see the Mill on Main in Austin MN. The US 30 development will feature many of the same architectural elements, amenities and finishes as that building.

Stencil Group is a vertically integrated development/construction/management company out of Sioux Falls SD. Stencil specializes in building high-quality buildings for the workforce of smaller communities in the Midwest. Over the years Stencil Group has developed a reputation as a first-class commercial construction company. We currently have 15 years of construction and development experience in the multifamily sector and have constructed over 3000 units to date. Throughout this time, we have honed our construction techniques and our relationships with many subcontractors and suppliers as well as our ability to form relationships and utilize local subcontractors and suppliers. Throughout the Covid-19 pandemic we were faced with many challenges including unprecedented inflation and supply chain shortages. We were able to overcome

Project Narrative

these challenges and keep projects on track because of our deep knowledge in the construction sector as well as these relationships. We are also quite familiar with Tax Increment Financing. Over the years we have found that TIF is a tool that both communities and developers use more and more due to the challenges of building quality affordable workforce housing in this modern age. We believe that we have been able TIF in a way that benefits all parties involved. In some the communities where we have used tax increment financing, we have been able to go back to the City Council and get approved for TIF on additional projects. We believe that this is a testament to our trustworthiness and our effectiveness in completing these projects in a way that benefits all stakeholders.

One aspect of the Stencil Group business model that makes us unique is our vertical integration. This means that from development through management this project will be handled under the same leadership and team. This provides several benefits to both the owners and the residents. One aspect of this that will be quite visible to our tenants is our increased stake in the quality of the building. Stencil Group works with a very small pool of investors led by Nathan Stencil. Almost all investors are repeat partners that are invested in multiple properties. These investors will stay with the property from its conception all the way through the construction process and will remain as owners once the building is opened and is managed by our property management team. This means our leadership and members have an increased sense of responsibility for the building as they will also be responsible for marketing and maintaining the development. Furthermore, once a building has been constructed, we have an array of tenant feedback that is far greater than that of a traditional construction company. This has allows us to tweak our designs over our many years of experience to best suit our tenants' needs and wants. Lastly this can help put your community at ease when it comes to the future of this property when care of the building is transferred over to our in-house management team, Elation Property Management. The quality of management of a property can greatly affect the health of the community in that building. Elation Property Management has consistently received positive tenant feedback and is very devoted to their position as a tenant first management company.

In the City of Cheyenne master plan it is stated that, "Some new residential subdivisions with mixed densities, unit sizes, and housing types have developed in recent years; however, additional diversity is needed to attract and retain new employers and employees." It is also stated in a recent housing study that Cheyenne, like many other Wyoming cities, has a great need for housing (in particular multifamily housing) and recommendations were made that the City "Make any change possible to allow for more multifamily housing." The report also states that, "Apartments are of more importance to alleviating the problem for two reasons. First and most obviously, apartments house more people in fewer projects. Second and less obvious, the positions tied to the Sentinel Project are relatively short-term. On-base operations and construction projects are for 10 years and move on to Montana." The Sentinel Project refers to a military project to update the current weapon systems at Francis E. Warren Air Force Base. The project is estimated to produce an additional 1014 new households in the area with a vast majority of those households (924 Estimated) being in Laramie County. Aside from the upcoming Sentinel Project, the City of Cheyenne is also experiencing organic growth with the Center for Business and Economic analysis at LCCC estimating that 2,238 new households will move into the community in addition to the households generated by the Sentinel Project. Currently, new home construction is not predicted to keep up with demand.

We believe that this location with its proximity to current residential development, educational facilities, and existing businesses will be an excellent location for a multifamily project. As the City expands to the east, this site has the potential may remain stagnant and blighted without the use of Urban Renewal and Tax Increment Financing. We believe now is a good time to redevelop this blighted area to prevent it from

Project Narrative

inhibiting future growth. We also believe that this project fits in well with current City plans. It is mentioned in the City of Cheyenne Metropolitan pedestrian plan that “Walking is important to Cheyenne’s future due to its potential to address several interrelated challenges, including traffic, air quality, public health, and providing a sense of community.” The subject property currently presents a barrier of pedestrian access as it separates the neighborhood directly to the west of the project (Stonewood Drive, Rockwood drive, Independence Drive, Golden court, Garden Court, Regal Court and Imperial Court as well as the entire neighborhood from Hayes avenue to Van Buren avenue and HWY 30 to Liberty Street, And the Prairie view apartment complex) from the areas that have redeveloped in the US30/Whitney/Dell Range project. This project will represent a major upgrade both in the quality of the roads and sidewalks in that area as well as their connection to the City-wide greenway bike and walking trail.

The US30/Whitney/Dell Range project is represents a significant step in revitalizing this area. It illustrates the need for improvements as the City continues to expand east. It is noted in the City of Cheyenne master plan that this area is to designated with a future land use of Community Business. In that same plan, the City defines multifamily housing as a secondary use of a community business area when it is integrated within a mixed-use concept plan. Furthermore, it states that new residential uses are typically greater than 8 dwelling units per acre, which is consistent with Stencil Group’s development plans. We believe the proposed development fits well into the parameters defined in PlanCheyenne. Our concept only uses part of the subject property, leaving the remainder of the land open for other uses. The population density increase generated by the new apartment building, as well as the increased connectivity to the surrounding area will further improve the retail climate of the corridor. We believe this project will help encourage further development in this area.

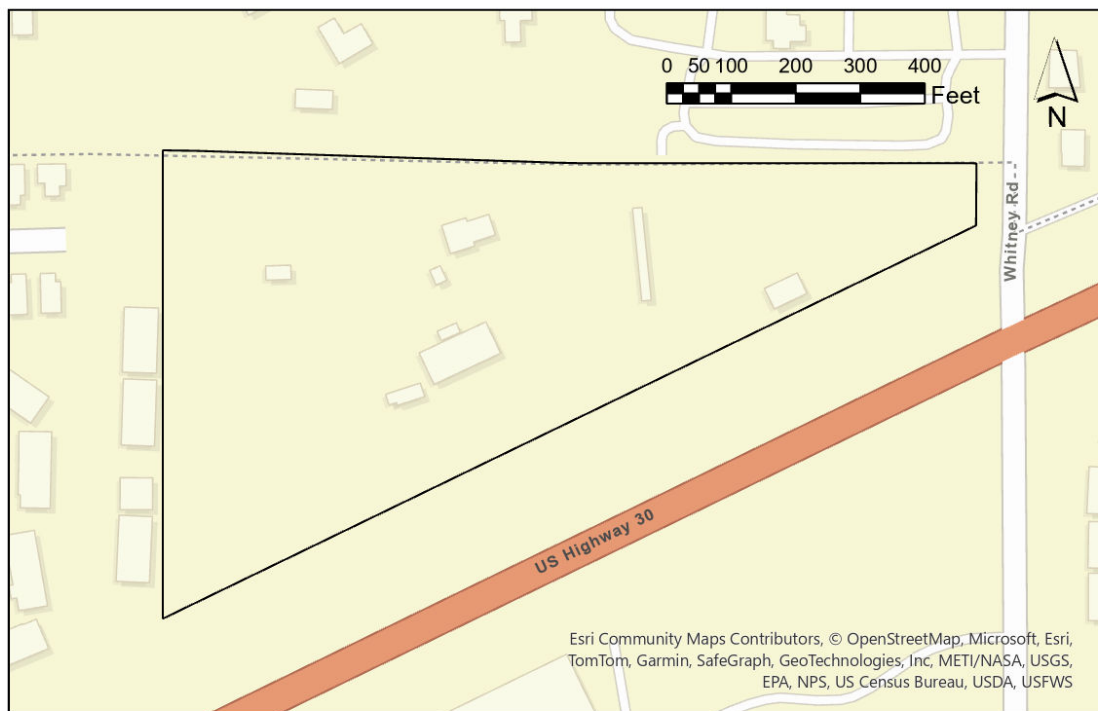


Project Narrative

The proposed site is currently in the Jolly Roger Urban Renewal Plan and Project. Additionally, a blight study was completed by the City of Cheyenne that found several conditions of blight, including deteriorating structures on the site; inadequate street layout with only 2 entrances to the property one being off of a major highway and one that could cause traffic conflicts; faulty lot layout due to its limited access and large size and unsafe or unsanitary conditions due to the lack of pedestrian connectivity as well as the possibility of soil contamination from its previous use as an RV service area. The Plan and Project authorizes the municipality to use tools such as tax increment financing to reinvest in this blighted area.

As previously mentioned, the development will be similar to the Mill on Main project in Austin Minnesota. Mill on Main is one of Stencil Group's most recent projects. This project generated significant interest as we exceeded our scheduled lease-up targets by a significant margin and are receiving positive reviews on both its management team and building construction. This success has prompted us to consider a second phase of the project to satisfy the substantial demand for these units. Our success has given us confidence in the proposed project, and we believe this project will be just as well received in your community.

However, due to current economic conditions we will not be able to complete this development without the use of tax increment financing. Even with the need of units within the City of Cheyenne, continued supply chain issues and interest rate increases coupled with the costs of remediating blighted conditions of the current site have decreased the margins on this project to a level where we would be unable to secure funding without the use of TIF.



Developer Qualifications



The Stencil Group is a regional premier Development / Construction Company that specializes in development and construction of all commercial types with a heavy focus on creation and construction of high-quality multi-family properties. Stencil Group has developed and constructed over 3000 units of multi-family housing in the upper Midwest in the last 15 years along with countless other commercial projects ranging from hotel, office, retail, and single-family housing totaling over \$500,000,000 in total project cost. Stencil's team of professionals brings decades of experience to the plate with a reputation as a contractor and developer that values experience, honesty, and reliability above all else.



Elation Property Management is a regionally based property management Company currently operating in South Dakota and Minnesota. It was established in 2015 to satisfy the demand in smaller midwestern markets for a tenant focused property management company that specializes in new construction multifamily lease ups and the subsequent management of those properties.

Current Properties Under Management

Dakota Estates I		Aberdeen, SD	65 Units
Dakota Estates II		Aberdeen, SD	72 Units
Dakota Estates III		Aberdeen, SD	72 Units
The Oaks		Watertown, SD	72 Units
Flats on 21	<i>Affordable</i>	Austin, MN	82 Units
Wilmot Estates		Bookings, SD	72 Units
Flats at Neill Park		Burnsville, MN	120 Units
Forte of Rochester	<i>55+ Affordable</i>	Rochester, MN	127 Units
Forte of Rochester II	<i>55+ Affordable</i>	Rochester, MN	127 Units
Mill On Main		Austin, MN	92 Units
Sweetgrass crossing		Brookings, SD	92 Units
Forte of Aberdeen		Aberdeen, SD	100 Units
Lake Isabelle Flats		Hastings, Mn	87 Units
Sweetgrass crossing		Brookings, SD	92 Units
Forte of Brookings		Brookings, SD	100 Units

Future Properties To Be Managed

Flats on Havens		Mitchell SD	90 Units
Silver lake crossing		Rochester, MN	112 Units
Abbey Road Apartments		Pierre, SD	115 Units
Gurney Flats		Yankton SD	104 Units
Forte of Brookings		Brookings, SD	100 Units
The Butte		Gillette, WY	111 Units
The Yellowstone		Casper, Wy	104 Units



NATHAN STENCIL

Owner/CEO

Highlighted Projects

- Forte Of Rochester (Rochester, MN)
- Forte Of Rochester II (Rochester, MN)
- Mill on Main (Austin, MN)
- Flats At Neill Park (Burnsville, SD)
- Lakeside Flats (Lakeville SD)
- The Pines (Rochester, MN)
- Tech Park Properties (Rochester, MN)
- Dakota Estates Properties (Aberdeen SD)
- Wilmot Estates (Brookings, SD)
- The Oaks (Watertown, SD)
- Flats on 21 (Austin, MN)

Nathan Stencil started in the construction industry by helping his father. He filled roles ranging from on-site help, superintending, and project management to in office development on residential development, multi-family, and commercial projects throughout South Dakota and Minnesota.

In 2009, he founded what would become Stencil Group. Over the ensuing 14 years, Nathan has transformed stencil group into a fully vertically integrated multi-family developer constructing over 28 commercial buildings and 300 individual multi-family units across South Dakota and Minnesota. He has found his niche in developing multi-family housing in both smaller underserved communities as well as quickly expanding suburbs of major metropolitan areas. This philosophy has served Nathan well and he has now added another venture to his resume, 55+ active adult buildings. With his Forte buildings Nathan is providing luxury 55+ active adult buildings to those same communities. These buildings are some of the most luxurious and involved projects Nathan has ever taken on and the response has been overwhelmingly positive.

1. **Development Program**
 - Number of residential units or commercial square footage by asset class.
 - [Page 4](#)
2. **Income Projections:**
 - Detailed rental income projections for each property unit.
 - Consideration of potential income from other sources like parking, storage, or amenities.
 - [Page 5 rent breakdown](#)
3. **Vacancy Rate:**
 - Assumption about the percentage of time units may remain vacant.
 - [Page 5 Lease up period rent income](#)
4. **Expense Breakdown:**
 - Operating expenses, including property management fees, maintenance, utilities, insurance, and property taxes.
 - Anticipated increases in expenses over time.
 - [Page 6 forecast operating statement](#)
5. **Construction Costs:**
 - Budget for redevelopment.
 - Timing of construction.
 - [page 2](#)
6. **Lease Terms:**
 - Rent escalation assumptions.
 - [Page 6 forecast operating statement](#)
7. **Financing Structure:**
 - Details of the financing structure, including loan terms, interest rates, and loan-to-value ratio.
 - [Page 5](#)
8. **TIF Projections:**
 - Projections for property taxes and TIF revenue.
 - [Page 3](#)
9. **Cash Flow Analysis:**
 - Calculation of net operating income (NOI) and cash flow before and after financing.
 - [Page 7](#)
10. **Exit Strategy:**
 - Cap rate assumption.
 - [Page 9](#)
11. **Lease-up Period:**
 - Projections for the time it takes to lease up vacant units.
 - [Page 5 lease up period rent income.](#)
12. **Metrics of Return**
 - Estimated NPV and IRR with and without TIF.
 - [Page 9](#)

Nahan stencil to provide construction costs.

TIF Calculation

I was given the rough estimation of \$7000 per \$1,000,000, in land improvement as our increment value so with construction costs estimated to be \$32,000,000 the our estimated TIF Increment would fall somewhere around \$224,000

$$\left(\frac{\$32,000,000}{\$1,000,000} \right) * \$7000 = \$224000$$

Studios

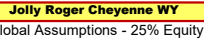
Unit Type	# of Units	Sq/Ft per Unit	Total Sq Ft/Type	Base Rent/Unit	Utility Allowance	Rent/Unit	Monthly Rent
0A - FMR	509	0				\$ -	\$ -
0A - 60%	509	0				\$ -	\$ -
0A - 50%	500	0				\$ -	\$ -
0A - MR	20	509	10180	\$1,175.00		\$1,175.00	\$23,500.00
0A - MR	22	528	11616	\$1,200.00		\$1,200.00	\$26,400.00
0A - MR	548	0				\$ -	\$ -
		0				\$ -	\$ -
0B - FMR	500	0				\$ -	\$ -
0B - 60%	500	0				\$ -	\$ -
0B - 50%	500	0				\$ -	\$ -
0B - MR	547	0				\$ -	\$ -
0B - MR	547	0				\$ -	\$ -
0B - MR	547	0				\$ -	\$ -
0B - MR	547	0				\$ -	\$ -
		0				\$ -	\$ -
0C - FMR	500	0				\$ -	\$ -
0C - 60%	500	0				\$ -	\$ -
0C - 50%	500	0				\$ -	\$ -
0C - MR	500	0				\$ -	\$ -
0C - MR	500	0				\$ -	\$ -
0C - MR	500	0				\$ -	\$ -
		0				\$ -	\$ -
		0				\$ -	\$ -
TOTAL	42		21796			\$1,188.10	\$ 49,900.00
Average			519				
Blended			2.29				

1 Bed

Unit Type	# of Units	Sq/Ft per Unit	Total Sq Ft/Type	Base Rent/Unit	Utility Allowance	Rent/Unit	Monthly Rent
1A - FMR	720	0				\$ -	\$ -
1A - 50%	720	0				\$ -	\$ -
1A - 60%	656	0				\$ -	\$ -
1A - MR	20	656	13120	\$1,500.00		\$1,500.00	\$ 30,000.00
1A - MR	20	656	13120	\$1,525.00		\$1,525.00	\$ 30,500.00
1A - MR	24	656	15744	\$1,550.00		\$1,550.00	\$ 37,200.00
		0				\$ -	\$ -
1B - FMR	720	0				\$ -	\$ -
1B - 60%	720	0				\$ -	\$ -
1B - 60%	720	0				\$ -	\$ -
1B - MR	720	0				\$ -	\$ -
1B - MR	720	0				\$ -	\$ -
1B - MR	720	0				\$ -	\$ -
1B - MR	720	0				\$ -	\$ -
		0				\$ -	\$ -
1C - FMR	720	0				\$ -	\$ -
1C - 50%	720	0				\$ -	\$ -
1C - 60%	614	0				\$ -	\$ -
1C - MR	733	0				\$ -	\$ -
1C - MR	720	0				\$ -	\$ -
1C - MR	720	0				\$ -	\$ -
		0				\$ -	\$ -
		0				\$ -	\$ -
TOTAL	64		41984			\$1,526.56	\$ 97,700.00
Average			656				
Blended			2.33				

2 Bed

Unit Type	# of Units	Sq/Ft per Unit	Total Sq Ft/Type	Base Rent/Unit	Utility Allowance	Rent/Unit	Monthly Rent
2A - FMR	849	0				\$ -	\$ -
2A - 50%	849	0				\$ -	\$ -
2A - 60%	910	0				\$ -	\$ -
2A - MR	10	987	9870	\$1,650.00		\$1,650.00	\$ 16,500.00
2A - MR	10	820	8200	\$1,675.00		\$1,675.00	\$ 16,750.00
2A - MR	10	820	8200	\$1,700.00		\$1,700.00	\$ 17,000.00
		0				\$ -	\$ -
2B - FMR	998	0				\$ -	\$ -
2B - 50%	998	0				\$ -	\$ -
2B - 60%	915	0				\$ -	\$ -
2B - MR	915	0				\$ -	\$ -
2B - MR	1080	0				\$ -	\$ -
2B - MR	1080	0				\$ -	\$ -
2B - MR	916	0				\$ -	\$ -
		0				\$ -	\$ -
2C - FMR	1080	0				\$ -	\$ -
2C - 50%	1080	0				\$ -	\$ -
2C - 60%	1080	0				\$ -	\$ -
2C - MR	18	1080	19440	\$1,750.00		\$1,750.00	\$ 31,500.00
2C - MR	18	1080	19440	\$1,775.00		\$1,775.00	\$ 31,950.00
2C - MR	22	1080	23760	\$1,900.00		\$1,900.00	\$ 41,800.00
		0				\$ -	\$ -
		0				\$ -	\$ -
TOTAL	88		88910			\$1,767.05	\$155,500.00
Average			1010				
Blended			\$ 1.75				



KEY	
	Required Input
	Optional Input
	Calculated Output
	Checkfigure Issue
	Checkfigure Balance

FORECASTED OPERATING STATEMENT - EXHIBIT B

	Construction Period	Startup Year 1	Stabilized Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
REVENUES											
Rent Income	\$ -	\$ 2,424,800	\$ 3,637,200	\$ 3,709,944	\$ 3,784,143	\$ 3,859,826	\$ 3,937,022	\$ 4,015,763	\$ 4,096,078	\$ 4,178,000	\$ 4,261,560
Garage Income	\$ -	\$ 150,250	\$ 225,000	\$ 229,500	\$ 234,090	\$ 238,772	\$ 243,547	\$ 248,418	\$ 253,387	\$ 258,454	\$ 263,623
Storage Income	\$ -	\$ 16,000	\$ 24,000	\$ 24,480	\$ 24,970	\$ 25,469	\$ 25,978	\$ 26,498	\$ 27,028	\$ 27,568	\$ 28,120
Other Income	\$ -	\$ 100,674	\$ 124,751	\$ 127,246	\$ 129,790	\$ 132,386	\$ 135,034	\$ 137,735	\$ 140,489	\$ 143,299	\$ 146,165
Vacancy & Credit Loss	-	-	(181,860)	(185,497)	(189,207)	(192,991)	(196,851)	(200,788)	(204,804)	(208,900)	(213,078)
TIF	-	-	256,007	256,007	256,007	256,007	256,007	256,007	256,007	256,007	256,007
Total Revenue	-	2,691,724	4,085,097	4,161,679	4,239,792	4,319,468	4,400,737	4,483,632	4,568,185	4,654,428	4,742,397
COST OF REVENUES											
Unit Cost	-	-	-	-	-	-	-	-	-	-	-
Commissions	-	-	-	-	-	-	-	-	-	-	-
Total Cost of Revenue	-	-	-	-	-	-	-	-	-	-	-
GROSS MARGIN		2,691,724	4,085,097	4,161,679	4,239,792	4,319,468	4,400,737	4,483,632	4,568,185	4,654,428	4,742,397
OPERATING EXPENSES											
Amortization	-	43,866	43,866	43,866	43,866	43,866	43,866	43,866	43,866	43,866	43,866
Depreciation - straight line 27.5 yrs	-	1,322,611	1,322,611	1,322,611	1,322,611	1,322,611	1,322,611	1,322,611	1,322,611	1,322,611	1,322,611
Advertising	88,546	83,671	53,003	54,063	55,144	56,247	57,372	58,520	59,690	60,884	62,101
Elevator	-	6,631	6,763	6,898	7,036	7,177	7,321	7,467	7,616	7,769	7,924
Garbage	-	15,850	15,850	16,167	16,490	16,820	17,157	17,500	17,850	18,207	18,571
Insurance	-	63,558	64,829	66,126	67,448	68,797	70,173	71,577	73,008	74,468	75,958
Interest	-	2,290,313	2,285,139	2,264,531	2,241,416	2,216,507	2,189,665	2,160,738	2,129,566	2,095,974	2,059,774
Legal / Accounting / Banking	-	10,830	11,047	11,268	11,493	11,723	11,957	12,196	12,440	12,689	12,943
Property & Asset Management Fees	-	141,875	153,164	156,227	159,351	162,538	165,789	169,105	172,487	175,937	179,456
Leasing Commissions	-	70,706	70,706	72,120	73,563	75,034	76,534	78,065	79,626	81,219	82,843
Payroll	12,500	135,280	130,686	133,300	135,966	138,685	141,459	144,288	147,174	150,118	153,120
Repairs	-	31,495	62,990	95,527	123,790	149,790	174,824	198,683	222,144	245,652	250,565
Real Estate Taxes	14,790	263,889	269,167	274,550	280,041	285,642	291,355	297,182	303,126	309,069	315,013
Reserve for Replacements	-	-	-	-	-	-	-	-	-	-	-
Snow Removal / Lawn Care	-	32,641	33,294	33,960	34,639	35,332	36,038	36,759	37,494	38,244	39,009
Subscriptions & Dues + Misc	-	8,354	8,521	8,692	8,865	9,043	9,223	9,408	9,596	9,788	9,984
Supplies	-	33,369	34,036	34,717	35,411	36,120	36,842	37,579	38,330	39,097	39,879
Fire/Alarm Monitoring	-	7,904	8,062	8,223	8,388	8,556	8,727	8,901	9,079	9,261	9,446
Cable/Phone/Internet	-	12,190	12,434	12,682	12,936	13,195	13,459	13,728	14,002	14,283	14,568
Gas/Electric	-	122,604	72,028	73,469	74,938	76,437	77,966	79,525	81,115	82,738	84,393
Water / Sewer	-	43,157	43,157	44,020	44,901	45,799	46,715	47,649	48,602	49,574	50,565
Total Expenses	115,837	4,740,794	4,701,353	4,733,017	4,758,295	4,779,918	4,799,052	4,815,346	4,829,424	4,841,446	4,832,588
NET INCOME (LOSS)	\$ (115,837)	\$ (2,049,069)	\$ (616,256)	\$ (571,338)	\$ (518,502)	\$ (460,450)	\$ (398,315)	\$ (331,714)	\$ (261,240)	\$ (187,018)	\$ (90,192)

NET OPERATING INCOME SUMMARY											
Net Operating Income (EBITDA)	\$ (115,837)	\$ 1,634,638	\$ 3,073,651	\$ 3,098,726	\$ 3,129,229	\$ 3,163,169	\$ 3,199,274	\$ 3,237,777	\$ 3,277,925	\$ 3,319,417	\$ 3,380,923
Less Debt Service	-	(2,290,313)	(2,494,282)	(2,562,272)	(2,562,272)	(2,562,272)	(2,562,272)	(2,562,272)	(2,562,272)	(2,562,272)	(2,562,272)
Net Operating Cash Flow	(115,837)	(655,675)	579,368	536,454	566,956	600,896	637,002	675,505	715,653	757,145	818,651
Taxes Due (Savings) (Flow-through to)	-	-	-	-	-	-	-	-	-	-	-
Net Operating Cash Flow After Tax	\$ (115,837)	\$ (655,675)	\$ 579,368	\$ 536,454	\$ 566,956	\$ 600,896	\$ 637,002	\$ 675,505	\$ 715,653	\$ 757,145	\$ 818,651

FORECASTED STATEMENT OF CASH FLOWS - EXHIBIT B

	Construction Period	Startup Year 1	Stabilized Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
OPERATING ACTIVITIES											
Net income (loss)	\$ (115,837)	\$ (2,049,069)	\$ (616,256)	\$ (571,338)	\$ (518,502)	\$ (460,450)	\$ (398,315)	\$ (331,714)	\$ (261,240)	\$ (187,018)	\$ (90,192)
Charges to net income not affecting cash											
Depreciation and amortization	-	1,366,477	1,366,477	1,366,477	1,366,477	1,366,477	1,366,477	1,366,477	1,366,477	1,366,477	1,366,477
Accounts receivable	-	-	-	-	-	-	-	-	-	-	-
Prepaid Expenses	-	-	-	-	-	-	-	-	-	-	-
Accounts payable and accrued expenses	-	68,343	(3,295)	3,907	3,575	3,411	3,355	3,283	3,276	3,306	1,783
Tenant Deposits	-	92,150	-	-	-	-	-	-	-	-	-
Asset Management Fee	-	56,750	38,291	39,057	39,838	40,635	41,447	42,276	43,122	43,984	44,864
NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES	(115,837)	(465,349)	785,217	838,103	891,388	950,072	1,012,965	1,080,322	1,151,634	1,226,749	1,322,932
INVESTING ACTIVITIES											
Purchases of property and equipment	(38,271,797)	-	-	-	-	-	-	-	-	-	-
Sales of property and equipment	-	-	-	-	-	-	-	-	-	-	-
Payment of financing & organizational costs	(438,661)	(56,750)	(38,291)	(39,057)	(39,838)	(40,635)	(41,447)	(42,276)	(43,122)	(43,984)	(44,864)
NET CASH PROVIDED BY (USED IN) INVESTING ACTIVITIES	(38,710,457)	(56,750)	(38,291)	(39,057)	(39,838)	(40,635)	(41,447)	(42,276)	(43,122)	(43,984)	(44,864)
FINANCING ACTIVITIES											
Member contributions	10,179,169	-	-	-	-	-	-	-	-	-	-
Class A priority distribution	-	271,445	(814,334)	(814,334)	(814,334)	(814,334)	(814,334)	(814,334)	(814,334)	(814,334)	(814,334)
Class B subordinate distribution	-	67,861	(203,583)	(203,583)	(203,583)	(203,583)	(203,583)	(203,583)	(203,583)	(203,583)	(203,583)
Class A Discretionary distribution	-	-	-	-	-	-	-	-	-	-	-
Principal payments on debt	-	-	(209,144)	(297,742)	(320,856)	(345,765)	(372,608)	(401,534)	(432,706)	(466,298)	(502,498)
Proceeds from debt borrowings	30,537,508	0.00	-	-	-	-	-	-	-	-	-
NET CASH PROVIDED BY (USED IN) FINANCING ACTIVITIES	40,716,678	339,306	(1,227,061)	(1,315,659)	(1,338,773)	(1,363,682)	(1,390,525)	(1,419,451)	(1,450,623)	(1,484,215)	(1,520,415)
NET INCREASE IN CASH	1,890,384	(182,794)	(480,135)	(516,612)	(487,223)	(454,244)	(419,007)	(381,406)	(342,110)	(301,450)	(242,347)
CASH - beginning of period	-	1,890,384	1,707,590	1,227,455	710,843	223,620	(230,624)	(649,631)	(1,031,037)	(1,373,147)	(1,674,597)
CASH - end of period	\$ 1,890,384	\$ 1,707,590	\$ 1,227,455	\$ 710,843	\$ 223,620	\$ (230,624)	\$ (649,631)	\$ (1,031,037)	\$ (1,373,147)	\$ (1,674,597)	\$ (1,916,944)

FINANCIAL RATIOS - EXHIBIT B

	Construction Period	Start Up Year 1	Stabilized Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Return on Equity											
Priority Distribution (8%)	\$ -	\$ (271,445)	\$ 814,334	\$ 814,334	\$ 814,334	\$ 814,334	\$ 814,334	\$ 814,334	\$ 814,334	\$ 814,334	\$ 814,334
Discretionary Distribution	-	-	-	-	-	-	-	-	-	-	-
Regular Return after Discretionary Dist.	(92,669)	(1,639,256)	(493,004)	(457,070)	(414,802)	(368,360)	(318,652)	(265,371)	(208,992)	(149,614)	(72,153)
Total Return	\$ (92,669)	\$ (1,910,700)	\$ 321,329	\$ 357,263	\$ 399,532	\$ 445,973	\$ 495,682	\$ 548,962	\$ 605,342	\$ 664,719	\$ 742,180
Cash on Cash Return	0.0%	-2.7%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
Return on Investment	-0.9%	-18.8%	3.2%	3.5%	3.9%	4.4%	4.9%	5.4%	5.9%	6.5%	7.3%
Cumulative Avg. Return on Original Inv.	-0.9%	-6.9%	-4.3%	-2.7%	-1.6%	-0.7%	0.0%	0.6%	1.2%	1.7%	2.1%
Return on Property Sale											
Net Cash from Property Sale (80%)	\$ -	\$ -	\$ 5,138,190	\$ 5,514,707	\$ 5,985,336	\$ 6,526,418	\$ 7,123,335	\$ 7,780,277	\$ 8,489,360	\$ 9,248,461	\$ 10,291,162
Cash on Cash Return Including Sale	0.0%	-2.7%	58.5%	62.2%	66.8%	72.1%	78.0%	84.4%	91.4%	98.9%	109.1%
Distribute Remaining Cash Balance from Operations	\$ -	\$ -	\$ 856,206	\$ 439,790	\$ 47,152	\$ (318,972)	\$ (656,862)	\$ (964,613)	\$ (1,240,921)	\$ (1,484,726)	\$ (1,680,030)
Cumulative Avg. Total Cash on Cash Return	0.0%	-0.9%	16.8%	14.9%	13.8%	13.2%	12.9%	12.7%	12.7%	12.7%	13.0%
Internal Rate of Return	n/a	n/a	18.08%	14.89%	13.19%	12.18%	11.52%	11.08%	10.78%	10.56%	10.50%
Working Capital											
Current Assets - Current Liabilities	\$ 1,337,953	\$ 772,516	\$ 228,882	\$ (286,825)	\$ (771,323)	\$ (1,222,611)	\$ (1,638,472)	\$ (2,017,450)	\$ (2,358,406)	\$ (2,641,546)	
Ratio	4.62	2.70	1.47	0.44	(0.43)	(1.13)	(1.70)	(2.13)	(2.45)	(2.65)	
Tangible Net Worth											
Amount	\$ 8,353,569	\$ 6,719,397	\$ 5,130,142	\$ 3,593,723	\$ 2,115,356	\$ 699,124	\$ (650,507)	\$ (1,929,664)	\$ (3,134,599)	\$ (4,242,707)	
Percent	21%	18%	15%	11%	7%	2%	-2%	-7%	-13%	-18%	
Fixed Charge Coverage Ratio											
Actual	n/a	n/a	1.23	1.21	1.22	1.23	1.25	1.26	1.28	1.30	1.32
Required		n/a	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
Amount Over(Short)		n/a	0.03	0.01	0.02	0.03	0.05	0.06	0.08	0.10	0.12
Dividends as % of Net Operating Income		-17%	26%	26%	26%	26%	25%	25%	25%	25%	24%
Cash Flow Breakeven Occupancy	n/a	n/a	87.3%	88.6%	88.1%	87.5%	87.0%	86.4%	85.8%	85.1%	84.1%
Cash Flow Breakeven Occupancy w/Priority Dist.	n/a	n/a	80.5%	108.5%	107.6%	106.7%	105.8%	104.8%	103.9%	102.9%	101.6%
Net Operating Cash Flow Return Before Tax	-1.14%	-6.44%	5.69%	5.27%	5.57%	5.90%	6.26%	6.64%	7.03%	7.44%	8.04%
Operating Expense Ratio	n/a	42.9%	27.9%	28.7%	29.4%	30.0%	30.5%	31.0%	31.5%	31.9%	31.9%

PROPERTY SALE ANALYSIS - EXHIBIT B

	Stabilized																	
	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10									
PROPERTY SALE ANALYSIS																		
Sale Value at CAP Rate of 6.25%	\$	48,381,723	\$	48,559,976	\$	48,835,677	\$	49,176,489	\$	49,561,579	\$	49,994,202	\$	50,461,879	\$	50,959,383	\$	51,785,030
Less: Sale Costs		(1,451,452)		(1,456,799)		(1,465,070)		(1,475,295)		(1,486,847)		(1,499,826)		(1,513,856)		(1,528,782)		(1,553,551)
Less: Loan Repayment		(30,328,365)		(30,030,623)		(29,709,767)		(29,364,002)		(28,991,394)		(28,589,860)		(28,157,154)		(27,690,856)		(27,188,357)
Sale Proceeds Before Tax		16,601,906		17,072,554		17,660,839		18,337,192		19,083,338		19,904,516		20,790,869		21,739,746		23,043,121
PROPERTY SALE ALLOCATIONS																		
Sale Proceeds Before Tax	\$	16,601,906	\$	17,072,554	\$	17,660,839	\$	18,337,192	\$	19,083,338	\$	19,904,516	\$	20,790,869	\$	21,739,746	\$	23,043,121
Return Class A Initial Investment		10,179,169		10,179,169		10,179,169		10,179,169		10,179,169		10,179,169		10,179,169		10,179,169		10,179,169
Developer Fee at Sale		-		-		-		-		-		-		-		-		-
Cash Balance from Sale		6,422,737		6,893,384		7,481,670		8,158,023		8,904,168		9,725,346		10,611,699		11,560,577		12,863,952
Cash - Class A Allocation 80% of balance	\$	5,138,190	\$	5,514,707	\$	5,985,336	\$	6,526,418	\$	7,123,335	\$	7,780,277	\$	8,489,360	\$	9,248,461	\$	10,291,162
Cash - Class B Allocation 20% of balance	\$	1,284,547	\$	1,378,677	\$	1,496,334	\$	1,631,605	\$	1,780,834	\$	1,945,069	\$	2,122,340	\$	2,312,115	\$	2,572,790
Total Class A Allocation of Net Proceeds	\$	15,317,359	\$	15,693,877	\$	16,164,505	\$	16,705,588	\$	17,302,504	\$	17,959,446	\$	18,668,529	\$	19,427,631	\$	20,470,331
DISTRIBUTE REMAINING CASH IN BANK																		
Cash in Bank less Accounts Payable		1,070,257		549,738		58,940		(398,715)		(821,077)		(1,205,766)		(1,551,152)		(1,855,907)		(2,100,038)
Cash - Class A Allocation 80% of balance	\$	856,206	\$	439,790	\$	47,152	\$	(318,972)	\$	(656,862)	\$	(964,613)	\$	(1,240,921)	\$	(1,484,726)	\$	(1,680,030)
Cash - Class B Allocation 20% of balance		214,051		109,948		11,788		(79,743)		(164,215)		(241,153)		(310,230)		(371,181)		(420,008)
Net Sale Proceeds	\$	46,930,271	\$	47,103,177	\$	47,370,606	\$	47,701,194	\$	48,074,732	\$	48,494,376	\$	48,948,023	\$	49,430,602	\$	50,231,479
Adjusted Basis		(35,626,575)		(34,303,964)		(32,981,353)		(31,658,743)		(30,336,132)		(29,013,521)		(27,690,910)		(26,368,300)		(25,045,689)
Gain on Sale		11,303,696		12,799,213		14,389,253		16,042,452		17,738,600		19,480,855		21,257,113		23,062,302		25,185,790
Gain - Class A Allocation	\$	9,623,665	\$	11,115,076	\$	12,673,652	\$	14,273,466	\$	15,897,699	\$	17,548,160	\$	19,214,548	\$	20,892,206	\$	22,809,010
Gain - Class B Allocation	\$	1,680,031	\$	1,684,137	\$	1,715,601	\$	1,768,986	\$	1,840,902	\$	1,932,695	\$	2,042,565	\$	2,170,096	\$	2,376,780
Tax Summary (Flow-through to Investors)																		
Tax on Cost Recovery		661,305		991,958		1,322,611		1,653,263		1,983,916		2,314,569		2,645,222		2,975,874		3,306,527
Tax on Capital Gain		1,731,695		1,766,276		1,819,762		1,885,880		1,960,587		2,044,516		2,135,245		2,231,761		2,391,936
Total Tax	\$	2,393,000	\$	2,758,234	\$	3,142,373	\$	3,539,143	\$	3,944,503	\$	4,359,085	\$	4,780,467	\$	5,207,635	\$	5,698,463